

MGT411 – Money & Banking

Golden File

For: Final Term Exam Preparation

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Quality of our File:

- All the papers are included in this file.
- 99% file is verified, but you also should read and verify.
- Repetitive MCQs are removed.
- Surely more than 90% MCQs in the exam are from this file. Sometime 99% MCQs.
- Extra lines, like Question #, and other things are also removed. The file is neat and clean. Just Question and their answers are included.
- The numbers of pages are very short.
- Just read this file, you will find very helpful during the exam.

Core principles of Money and Banking include each of the following Except?

- ▶ **All people act rationally**
- ▶ Time has value
- ▶ Information is the basis for decisions
- ▶ Risk requires compensation

Which of the following is the final mode of payment?

- ▶ **Money**
- ▶ ATM

- ▶ Cheque
- ▶ Yet to discover

The one that you get from bank when you open your checking account is _____.

- ▶ **Debit card**
- ▶ Credit card
- ▶ Store value card
- ▶ Customer card

A Financial Intermediary:

- ▶ Is an agency that guarantees a loan
- ▶ Is involved in direct finance
- ▶ **Would be used in indirect finance**
- ▶ None of the given options

Which of the following is NOT a financial instrument?

- ▶ A share of General Motors stock
- ▶ **A tuition bill**
- ▶ A U.S. Treasury bond
- ▶ A home insurance policy

Which of the following is true for direct finance?

- ▶ Individuals (or firms) borrow directly from banks
- ▶ Individuals deposit savings directly in banks
- ▶ Firms deposit savings directly in banks
- ▶ **Individuals (or firms) borrow directly from the savers**

If an investment will return \$1000 $\frac{1}{2}$ of the time and \$600 $\frac{1}{2}$ of the time, the expected value of the investment is:

- ▶ \$1,600
- ▶ **\$800**
- ▶ \$400
- ▶ \$900

_____ is the strategy of reducing overall risk by making two investments with opposing risks.

- ▶ Spreading the risk
- ▶ Standard deviation
- ▶ **Hedging the risk**
- ▶ Variance

For a \$1000 one year discount bond with a price of \$975, the yield to maturity is which of the following?

- ▶ \$975/\$1000
- ▶ **$(\$1000 - \$975)/\$975$**

- ▶ $(\$1000 - \$975)/(\$1000)$
- ▶ $\$1000/\975

If YTM is less than the coupon rate the price of the bond is _____.

- ▶ **Greater than its face value**
- ▶ Lower than its face value
- ▶ Equals to its face value
- ▶ Insufficient information is given

Term structure of interest rate can be explained by which one of the following?

- ▶ Tax difference
- ▶ Expectation hypothesis
- ▶ Liquidity premium theory
- ▶ **Both by expectation hypothesis and liquidity premium theory**

The shape of the yield curve is usually:

- ▶ **Upward sloping**
- ▶ Downward sloping
- ▶ Upward sloping for shorter maturities and downward sloping for longer maturities
- ▶ Flat

An index number is a valuable tool because:

- ▶ The number by itself provides all of the useful information needed
- ▶ **The index provides a meaningful measurement scale to calculate percentage changes**
- ▶ The index is more stable than the data it reflects
- ▶ It does not require any calculations to compute percentage changes

Stock market bubbles can lead to:

- ▶ An inefficient allocation of resources
- ▶ **Stock market crashes**
- ▶ Patterns of volatile returns from the stock market
- ▶ All of the given options

The difference between a bank's reserves and their required reserves is equal to which of the following?

- ▶ Equity
- ▶ **Excess reserves**
- ▶ Net interest income
- ▶ None of the given options

Which one of the following is a way for a bank to deal with credit risk?

- ▶ **Add a mark-up to the cost of funds for a specific borrower based on the borrower's credit history**
- ▶ Charge all borrowers from the same industry an average rate for that industry
- ▶ Avoid making loans to borrowers from a broad spectrum

- ▶ Limit the number of loans made in any year

What matters most during a bank run is _____.

- ▶ **The liquidity of the bank**
- ▶ The solvency of the bank
- ▶ The number of depositors
- ▶ Safety of bank

Under the purchase and assumption method of dealing with a failed bank, the FDIC _____.

- ▶ Sells the failed bank to the Federal Reserve
- ▶ **Finds another bank to take over the insolvent bank**
- ▶ Takes over the day to day management of the bank
- ▶ Sells off the profitable loans of the failed bank in an open auction

Which of the following statements is incorrect ?

- ▶ The higher the deposit insurance limit the higher the risk of moral hazard
- ▶ The lower the deposit insurance limit the lower the risk of moral hazard
- ▶ **Deposit insurance limits do not impact moral hazard, they impact adverse selection**
- ▶ Increasing the deposit insurance limits above \$100,000 would increase coverage for relatively few depositors

Stable inflation implies which of the following?

- ▶ That the rate of inflation averaged over many years is zero(0)
- ▶ **That inflation is predictable**
- ▶ Low rates of unemployment
- ▶ All of the given options

A bank can make new loans as long as it has:

- ▶ **Excess reserves**
- ▶ Required reserves
- ▶ Correspondent reserves
- ▶ Capital

Which one of the following is extended usually overnight to sound institutions on a very short-term basis?

- ▶ **Primary credit**
- ▶ Secondary credit
- ▶ Seasonal credit
- ▶ All of the given options

_____ refers to the instruments that are not directly under the control of central bank:

- ▶ Financial instruments
- ▶ **Intermediate instruments**

- ▶ Operating instruments
- ▶ All of the given options

The risk of "insolvency" is basically the risk of:

- ▶ Borrowers not paying off lenders in a timely fashion
- ▶ Machinery breakdowns
- ▶ Not being able to find a buyer for an asset
- ▶ **Asset value falling below liability value**

The machinery which is used by Bank for sorting and clearing checks breaks down. This is a manifestation of which of the following risk?

- ▶ Credit risk
- ▶ **Operational risk**
- ▶ Liquidity risk
- ▶ Market risk

In general, if the financial institution's balance sheet displays assets and liabilities that are "mis-matched" to a significant degree, the institution faces:

- ▶ Operational risk
- ▶ Sovereign risk
- ▶ **Interest rate risk**
- ▶ Liquidity risk

Everything else equal, if the growth rate of a country exceeds its sustainable rate:

- ▶ The central bank will keep interest rates low to keep the momentum
- ▶ **The central bank is likely to raise interest rates to slow the rate of growth**
- ▶ The central banks will identify the new rate as sustainable rate and try to maintain it
- ▶ The central bank is likely to lower the interest rate to offset this boom

The idea that central banks should be independent of political pressure is an idea that:

- ▶ Is included in Federal Reserve Act in 1913
- ▶ **Is relatively new**
- ▶ Every central bank was founded upon
- ▶ Became quite popular in the early 1900's

Which of the following type/s of transaction/s affect the balance sheets of both the central bank and the banking system?

- ▶ An open market operation
- ▶ Central bank's extension of a discount loan
- ▶ **All of the given options**
- ▶ A foreign exchange intervention

Which of the following statements is most appropriate?

▶ **Over the last 10 years the deviations between the target and market federal funds rate have decreased**

- ▶ The market federal funds rate equals the target federal funds rate
- ▶ Over the last 10 years the deviations between the target and market federal funds rate have increased
- ▶ There doesn't appear to be any relationship at all between the target and market federal fund rates

Currency-to-deposit ratio is a factor that affects the quantity of money. This factor is controlled by which of the following?

- ▶ Central bank
- ▶ Bank regulators
- ▶ Commercial banks
- ▶ **Non bank public**

Which one of the following statement is true for investment if all other factors are held constant?

- ▶ An investment with less risk should sell for a lower price and offer a lower return
- ▶ **An investment with more risk should sell for a lower price and offer a higher return**
- ▶ An investment with less risk should sell for a lower price and offer a higher return
- ▶ An investment with more risk should offer a lower return and sell for a higher price

An important component of bank capital is _____, an amount the bank set aside to cover potential losses from defaulted loans.

- ▶ Reserves
- ▶ **Loan loss reserves**
- ▶ Unappropriated profit
- ▶ Appropriated profit

If a customer makes a withdrawal of \$3 million, from where the bank will deduct this withdrawal?

- ▶ From capital
- ▶ From cash at hand
- ▶ **From reserves**
- ▶ Other assets

There are _____ type/s of life insurance.

- ▶ 1
- ▶ **2**
- ▶ 3
- ▶ 4

Which of the following provides a payment to the policyholder's beneficiaries in the event of the insured's death at any time during the policy term?

- ▶ Life insurance
- ▶ **Term life insurance**
- ▶ Whole life insurance
- ▶ Causality insurance

Which of the following are the primary uses of funds of Finance Company?

- ▶ Cash, loans, securities
- ▶ Corporate bonds, government bonds
- ▶ Commercial paper, bonds, mortgages
- ▶ **Bonds, bank loans, commercial paper**

Which of the following situation in a central bank can wreak havoc on the economic and financial system of a country?

- ▶ Weak fiscal policy
- ▶ Extreme political pressure
- ▶ Incompetence of the central banks
- ▶ **Extreme political pressure and incompetence of the central banks**

A central bank as banker's bank performs the following role(s):

- ▶ **Provide loan during a time of financial stress**
- ▶ Manage the payment system
- ▶ Oversee commercial banks and the financial system
- ▶ All of the given options

Which of the following are goals of the Central Bank?

- ▶ Low employment
- ▶ **Low, stable inflation**
- ▶ Low exchange rates
- ▶ All of the above

Which of the following is represented by the income statement of a bank?

- ▶ Financial position of a bank
- ▶ Financial position of board of directors
- ▶ **Performance of a bank**
- ▶ Performance of the employees of a bank

“Pooling the knowledge of a number of people yields better decisions than decision making by an individual” represent which of the following principle of central bank design?

- ▶ Independence
- ▶ **Decision making by committee**
- ▶ Accountability and transparency
- ▶ Policy framework

“Policy makers must be held accountable to the public they serve and clearly communicate their objectives, decisions and methods” represent which of the following principle of central bank design?

- ▶ Decision making by committee
- ▶ **Accountability and transparency**
- ▶ Policy framework
- ▶ Independence <http://vustudents.ning.com>

Among the asset side of the balance sheet of a central bank which of the following item represent the function of central bank as Banker's bank?

- ▶ Currency
- ▶ Reserves
- ▶ Deposits of the Government
- ▶ **Loan to commercial bank**

Monetary base and quantity of money have _____

- ▶ **Direct relation**
- ▶ Inverse relation
- ▶ No relation
- ▶ Incomplete information

When the currency that people are holding loses value much rapidly, what will be the behavior of people?

- ▶ **The will spend money as quickly as possible**
- ▶ They will try to save the money for future
- ▶ They will not bother the value of money
- ▶ None of the given option

The _____ tells us why high inflation and high money growth go together, and explains why countries can have money growth that is higher than inflation

- ▶ Velocity of money
- ▶ **Quantity theory of money**
- ▶ Money growth
- ▶ Velocity growth

Nominal money demand raises with _____, as more income means more spending, which requires more money.

- ▶ Real income
- ▶ **Nominal income**
- ▶ Cost of holding money
- ▶ Availability of substitutes

If inflation exceeds money growth keeping the velocity constant, what will be its effect on real money and aggregate demand?

- ▶ Real money balances will rise along with the aggregate demand
- ▶ **Real money balances will fall along with the aggregate demand**

- ▶ Real money balances will rise while the aggregate demand will fall
- ▶ Real money balances will fall while the aggregate demand will rise

The rate will change if one of the following components of aggregate demand that is not sensitive to the real interest rate goes up (or down) or if potential output changes.

- ▶ Consumption
- ▶ Investment
- ▶ Net exports <http://vustudents.ning.com>
- ▶ **Govt. spending**

Which of the following factor(s) influence the sensitivity of current output to inflation?

- ▶ The strength of the effect of inflation on real money balances
- ▶ The extent to which monetary policymakers react to a change in current inflation
- ▶ The size of the response of aggregate demand to changes in the interest rate
- ▶ **All of the given options**

Which of the following is (are) the reason(s) for inflation being persistent?

- ▶ When people expect inflation in the long run they cut the prices
- ▶ When people expect inflation in the long run they raise wages and
- ▶ **When people expect inflation to continue, they adjust the prices and wages accordingly!**
- ▶ When people expect inflation to continue, they cut the prices and wages accordingly

If current output is lower than potential output, the resulting recessionary gap places pressure towards _____ on inflation, causing the short-run aggregate supply curve to shift downward.

- ▶ Right
- ▶ Left
- ▶ Upward
- ▶ **Downward**

Among the following reasons, which is the most appropriate cause of inefficiency of the barter system over monetary system?

- ▶ Barter system involves commodities
- ▶ **Barter system involves double coincidence of wants**
- ▶ Barter system lacks a system for future payments
- ▶ Barter system lacks a system for storage of value

A Financial Intermediary:

- ▶ Is an agency that guarantees a loan
- ▶ Is involved in direct finance

- ▶ **Would be used in indirect finance**
- ▶ None of the given options

The process of financial intermediation:

- ▶ Creates a net cost to an economy but is unavoidable
- ▶ Is used primarily in underdeveloped countries
- ▶ **Is always used when a borrower needs to obtain funds**
- ▶ Increases the economy's ability to produce

Commissions paid to an insurance broker are an example of which of the following?

- ▶ Risk transfer
- ▶ Information asymmetry
- ▶ **Transaction costs**
- ▶ All of the given options

Which of the following market allowed networks of dealers that are connected electronically?

- ▶ New York Stock Exchange
- ▶ **NASDAQ**
- ▶ Large exchanges in London
- ▶ Large exchanges in Tokyo

If you put \$1,000 per year into bank at 4% interest, how much would you have saved after 40 years?

- ▶ \$90,000
- ▶ \$98,826
- ▶ **\$82,286**
- ▶ \$85,880

The relationship between the price and the interest rate for a zero coupon bond is best described as _____.

- ▶ Volatile
- ▶ Stable
- ▶ **Inverse**
- ▶ No relationship

If the annual interest rate is 6% (.06); the price of a one year Treasury bill would be:

- ▶ \$94.00
- ▶ **\$94.33**
- ▶ \$95.25
- ▶ \$96.10

Which of the following would probably NOT earn an A rating from Standard & Poor's:

- ▶ 30 years bond issued by the U.S. Treasury

- ▶ **New vegetarian fast-food chain**
- ▶ 90 days T-Bills issued by the U.S. Treasury
- ▶ Both 30 years bond and 90 days T-Bills issued by U.S. Treasury

Expectation hypothesis focuses on which one of the following?

- ▶ Risk premium
- ▶ **Risk free interest rate**
- ▶ Yield to maturity
- ▶ None of the given options

Other things remaining equal, the liquidity premium theory is based upon the idea that _____.

- ▶ **Investors prefer long-term bonds**
- ▶ Investors prefer short-term bonds
- ▶ Investors are indifferent between short-term and long-term bonds
- ▶ Investors prefer intermediate-term bonds

The shape of the yield curve is usually:

- ▶ **Upward sloping**
- ▶ Downward sloping
- ▶ Upward sloping for shorter maturities and downward sloping for longer maturities
- ▶ Flat

Common stocks (or corporate stocks):

- ▶ Are short term debt instruments
- ▶ Entitle the holder to contractual payments
- ▶ Were poor investments over the period 1982-1996
- ▶ **Allows the holder to share in the earnings of the firm**

Stock market bubbles can lead to:

- ▶ An inefficient allocation of resources
- ▶ **Stock market crashes**
- ▶ Patterns of volatile returns from the stock market
- ▶ All of the given options

Which of the following represents correct equation for balance sheet of the bank?

- ▶ Total banks assets = Total banking liability + Banks Capital
- ▶ Total banks assets + Banks Capital = Total banking liability
- ▶ Total banks assets + Banks Capital + Total banking liability = 0
- ▶ **Banks Capital = Total banking liability + Total banks assets**

A stand by letter of credit is a form of:

- ▶ Loan
- ▶ **Insurance**
- ▶ Security
- ▶ Deposits

The difference between a bank's reserves and their required reserves is equal to which of the following?

- ▶ Equity
- ▶ **Excess reserves**
- ▶ Net interest income
- ▶ None of the given options

Which of the following is the primary source of funds for Depository institutions?

- ▶ Short term loans
- ▶ Shares sold to customers
- ▶ **Savings and time deposits**
- ▶ Commercial papers

Which one of the following refers to the risk assessment and loss reimbursement guarantee by the individual risk experts of the relevant field?

- ▶ **Underwriting process**
- ▶ Insurance process
- ▶ Research process
- ▶ None of the given options

All of the followings are the primary source of funds for Government sponsored Enterprise EXCEPT?

- ▶ **Commercial paper**
- ▶ Bonds
- ▶ Loan guarantees
- ▶ Policy benefits to be paid out to future retirees

The "trade off" which can impact bank's likelihood of failure is described as:

- ▶ The larger the bank in asset size the more likely it will fail
- ▶ The more competitive the banking environment, the more likely the bank will fail
- ▶ **The more profitable the bank, the less liquid the bank will be and the more likely it will fail**
- ▶ The greater the regulation from government the more likely the bank will fail

Khushhali bank is:

- ▶ A Finance company
- ▶ A Securities firm
- ▶ **A Government sponsored enterprise**
- ▶ An insurance company

_____ is the strategy of buying and selling government securities:

- ▶ **Open market operations**
- ▶ Reserve requirement
- ▶ Discount loans
- ▶ Cash withdrawal

Instruments that the central bank controls directly are known as:

- ▶ Operating instruments
- ▶ Intermediate instruments
- ▶ **Financial instruments**
- ▶ None of the given options

Which one of the following is extended usually overnight to sound institutions on a very short-term basis?

- ▶ **Primary credit**
- ▶ Secondary credit
- ▶ Seasonal credit
- ▶ All of the given options

Inflation in the long run would be determined by which one of the following?

- ▶ The exchange rate
- ▶ Aggregate demand
- ▶ **The rate of money growth**
- ▶ Aggregate supply

Which one of the following is vertical at the point where current output equals potential output?

- ▶ **Short run aggregate supply curve**
- ▶ Aggregate demand curve
- ▶ Long run aggregate supply curve
- ▶ Monetary policy reaction curve

Interest rate risk arises as a result of which one of the following consequences?

- ▶ It arises when banks make additional profit by using derivatives
- ▶ It arises when loan is not repaid
- ▶ It arises because of sudden demands of funds
- ▶ **It arises when two sides of the balance sheet do not match up**

Excess reserve-to-deposit ratio is a factor that affects the quantity of money. This factor is controlled by which of the following?

- ▶ Central bank
- ▶ Bank regulators
- ▶ **Commercial banks**
- ▶ Non bank public

The Fed was reluctant to make discount loans because of which one of the following reason?

- ▶ Because it was a destabilizing force for financial markets
- ▶ Because it resulted in banks in poor financial standing
- ▶ **Because it pushed the discount rate above the target federal funds rate**
- ▶ Because it proved to be a very stabilizing force for financial markets

Monetary Base is a factor that affects the quantity of money. This factor is controlled by which of the following?

- ▶ **Central bank**
- ▶ Bank regulators
- ▶ Commercial banks
- ▶ Non bank public

Inflation in the long run would be determined by which one of the following?

- ▶ The exchange rate
- ▶ Aggregate demand
- ▶ **The rate of money growth**
- ▶ Aggregate supply

Complete crowding-out will occur if:

- ▶ The money supply rises when Government purchases increases
- ▶ An increase in Government purchases does not change Consumption
- ▶ Taxes rise when Government purchases increases
- ▶ **An increase in Government purchases causes an equal fall in Consumption, Investment, and Net Exports**

Bank can borrow by using a _____ or repo which is a short term collateralized loan.

- ▶ Letter of credit
- ▶ Discounted loan
- ▶ **Repurchase agreement**
- ▶ Federal funds

What happens when a bank does not meet customer's request for immediate funds?

- ▶ There will be risk of failure even with positive net worth
- ▶ Liquidity will drive it out of business
- ▶ There will be risk of failure with negative net worth
- ▶ **None of the given options**

Which of the following are the primary uses of funds of Finance Company?

- ▶ **Cash, loans, securities**
- ▶ Corporate bonds, government bonds
- ▶ Commercial paper, bonds, mortgages
- ▶ Bonds, bank loans, commercial paper

Which of the following are not under the control of a central bank?

- ▶ Govt. budget
- ▶ Fiscal policy
- ▶ Securities market
- ▶ **All of the given options**

The _____ framework is made up of the objectives of central banks and requirements that central bank be independent, accountable and good communicator.

- ▶ **Monetary policy**
- ▶ Fiscal policy
- ▶ Insurance policy
- ▶ Trade policy

“Pooling the knowledge of a number of people yields better decisions than decision making by an individual” represent which of the following principle of central bank design?

- ▶ Independence
- ▶ Decision making by committee
- ▶ **Accountability and transparency**
- ▶ Policy framework

If the cost of the currency is the interest it would earn on deposits then what would be its benefit?

- ▶ Higher risk and lower liquidity
- ▶ **Higher risk and higher liquidity**
- ▶ Lower risk and lower liquidity
- ▶ Lower risk and higher liquidity

The quantity of money people hold for transaction purposes does NOT depends upon:

- ▶ Nominal income
- ▶ Cost of holding money
- ▶ Availability of substitutes
- ▶ **Real income**

Portfolio demand for money goes up as the riskiness of the alternative _____

- ▶ **Falls**
- ▶ Rises
- ▶ Remain stable
- ▶ Cannot be determined

There must be some level of the _____ at which aggregate demand equals potential output.

- ▶ **Real interest rate**
- ▶ Nominal interest rate
- ▶ Effective interest rate
- ▶ None of the given options

The higher real interest rate reduces consumption, investment, and net exports causing aggregate demand (output) to _____.

- ▶ Fall

- ▶ **Rise**
- ▶ Remain constant
- ▶ Incomplete information

In which of the following situation part of the economy's capacity is idle, and firms tend to raise their prices and wages less than they did when current output equaled potential output?

- ▶ **When current output is below potential output**
- ▶ When current output is exceeds potential output
- ▶ When current output equals potential output
- ▶ None of the given options

In which of the following situation firms increase their prices and wages more than they would if they were operating at normal levels?

- ▶ When current output is below potential output
- ▶ **When current output exceeds potential output**
- ▶ When current output equals potential output
- ▶ None of the given options

Which of the following is determined by the intersection of the aggregate demand curve with the short-run aggregate supply curve?

- ▶ **Short-run equilibrium**
- ▶ Long-run equilibrium
- ▶ Both short-run and long-run equilibrium
- ▶ None of the given options

An increase in aggregate demand causes a temporary increase in which of the following?

- ▶ Out put
- ▶ **Inflation**
- ▶ Both output and inflation
- ▶ Incomplete information

If more students didn't pay back their student loans then which of the following statement would imply?

- ▶ Student loans may become more difficult to obtain
- ▶ **The interest rate on student loans would increase**
- ▶ Fewer people may attend college
- ▶ All of the given options

Price of 100 goods under the barter system would be _____.

- ▶ 5050
- ▶ 19800
- ▶ **4950 (PAGE 7)**
- ▶ 20200

Under barter the general formula for n goods, we will have $n(n - 1) / 2$ prices

Recently M2 and M3 have become:

- ▶ A less useful measure of the relationship between the money supply and inflation
- ▶ **The money supply, the Federal Reserve pays the most attention to, in conducting monetary policy (PAGE 10)**
- ▶ Less useful than M1 due to new substitutes for standard checking account
- ▶ The slowest growing of all of the money aggregates

Economic research shows:

- ▶ There is a strong inverse correlation between financial market development and economic growth
- ▶ There is weak relation between financial market development and economic growth around 0.25
- ▶ **There is a relatively strong positive correlation between financial market development and economic growth**
- ▶ There isn't any correlation between financial market development and economic growth

Considering the value of a financial instrument, the longer the time until the promised payment is made:

- ▶ **The less valuable is the promise to make it since time is valuable (page 16)**
- ▶ The greater the risk, therefore the promise has greater value
- ▶ The more valuable is the promise to make it
- ▶ It has no effect on the value of instrument

Which of the following market allowed networks of dealers that are connected electronically?

- ▶ New York Stock Exchange
- ▶ **NASDAQ (repeat)**
- ▶ Large exchanges in London
- ▶ Large exchanges in Tokyo

Bonds that are issued by Government are called _____.

- ▶ Government bonds
- ▶ **Treasury bonds (repeat)**
- ▶ Corporate bonds
- ▶ Callable bonds

Asma deposits funds into a CD account at her bank. The CD account has an annual interest of 4.0%. If Asma leaves the funds in the CD account for entire two years she will have \$1081.60. What amount is Asma depositing?

- ▶ \$960.60
- ▶ \$900.00
- ▶ \$1005.00
- ▶ **\$1000.00**

Which of the following investment will be profitable?

- ▶ IRR is less than cost of borrowing
- ▶ IRR is equal to cost of borrowing
- ▶ **IRR is greater than cost of borrowing (capital budgeting)**
- ▶ IRR has no connection with cost of borrowing

Suppose there are two investments, A and B, investment A has low standard deviation where as investment B has high standard deviation. What would you think that most people will choose?

- ▶ **Investment A (page 35)**
- ▶ Investment B
- ▶ Indifference between them
- ▶ Insufficient information to decide

The liquidity premium theory suggests that yield curves should usually be:

- ▶ **Up-sloping (page 59)**
- ▶ Inverted
- ▶ Flat
- ▶ Up-sloping through year 1, then flat thereafter

What will the yield curve look like if future short-term interest rates are expected to rise sharply?

- ▶ **It will steeply slope upward**
- ▶ It will be horizontal
- ▶ It will slightly slope upward
- ▶ It will slope downward

The fact that a financial intermediary can use the same contract for many customers is an example of:

- ▶ Economies of Scope
- ▶ The Law of Diminishing Marginal Returns
- ▶ The Law of Increasing Opportunity Cost
- ▶ **Economies of Scale**

Which of the following does not include in the bank's reserves?

- ▶ Treasury bills
- ▶ Currency in the bank
- ▶ Bank's deposits at the Federal Reserves
- ▶ **Currency in ATM machines**

Cash in ATM can not be consider as reserve as that cash can be withdrawn by any client.

_____ measures how efficiently a bank uses its assets.

- ▶ **Return on Assets (page 78)**
- ▶ Return on Equity
- ▶ Bank Capital

► Bank Profitability

One way for a bank to deal with liquidity risk is _____.

► **To hold sufficient excess reserves (page 81)**

- To charge all borrowers from the same industry an average rate for that industry
- To avoid making loans to borrowers from a broad spectrum
- To limit the number of loans made in any year

□ One way to manage liquidity risk is to hold sufficient excess reserves (beyond the required

reserves mandated by the central bank) to accommodate customers' withdrawals.

□ However, this is expensive (interest is foregone)

□ Two other ways to manage liquidity risk are:

□ Adjusting assets

□ Adjusting liabilities

Which of the following is the primary source of funds for Depository institutions?

- Short term loans
- Shares sold to customers
- **Savings and time deposits (page 89)**
- Commercial papers

Which one of the following refers to the risk assessment and loss reimbursement guarantee by the individual risk experts of the relevant field?

- **Underwriting process (repeat)**
- Insurance process
- Research process
- None of the given options

"Financial regulations restrict the assets that banks can own". Which one of the following provides the reason for that?

- Because it limits the growth rate of banks
- **Because it combats the moral hazard that government safety nets provide**
- Because it prevents banks from being too profitable
- Because it keeps banks from spending lavishly on perks for executives

An open market purchase of U.S. Treasury securities by the Fed will cause the Fed's balance sheet to show _____.

- A decrease in the asset of securities and a decrease in the liability of reserves
- A decrease in the liability of reserves
- No change in the size of balance sheet except composition of assets
- **An increase in the asset category of securities and the liability category of reserves**

Identify the most appropriate statement.

- The FOMC sets the federal funds rate
- The discount rate is the primary policy tool of the FOMC

► The difference between the target and actual federal funds rate is the dealer's spread

► **The FOMC sets the target federal funds rate**

Which one of the following refers to actual tools of policy instruments that the central bank controls directly?

► **Operating instruments (page 114)**

- Intermediate instruments
- Financial instruments
- None of the given options

Operating instruments refer to actual tools of policy, instruments that the central bank controls directly.

Which one of the following is used primarily by small agricultural banks to help in managing the cyclical nature of farmer's loans and deposits?

- Primary credit
- Secondary credit
- **Seasonal credit (page 113)**
- All of the given options

Seasonal credit is used primarily by small agricultural banks to help in managing the cyclical nature of farmers' loans and deposits

Over the long run if central banks want to avoid high rates of inflation they need to be concerned with which of the following?

- Unemployment
- **Money growth (page 116)**
- Real economic growth
- Productivity of labor

Every country with high inflation has high money growth; thus to avoid sustained episodes of high inflation, a central bank must be concerned with money growth.

If M = the money supply; Y = real output, P = the price level, and V = velocity, which of the following equals the income velocity of money?

- $(P \cdot Y) + M$
- $(P \cdot M)/Y$
- $(Y \cdot M)/P$
- **$(P \cdot Y)/M$ (page 117)**

Question No: 26 (Marks: 1) - Please choose one

Key assumptions behind the quantity theory of money include which of the following?

- The change in nominal GDP is zero
- Percentage change in the price level equals the percentage change in real GDP
- **The velocity of money is constant**

- ▶ The money supply is fixed

Question No: 27 (Marks: 1) - Please choose one

Identify the correct statement.

- ▶ When the real interest rate increases the reward for saving decreases
- ▶ When the real interest rate decreases the cost of current consumption increases
- ▶ **When the real interest rate increases current consumption becomes more expensive and reward for saving increases**
- ▶ When the real interest rate increases only the reward for saving increases

Which one of the following is NOT true for gap analysis?

- ▶ It is the difference between the yield on interest sensitive assets and liabilities
- ▶ It is the difference in the maturity of assets and liabilities
- ▶ Banks manage credit risk by using gap analysis
- ▶ **It is a formal study of what a business is doing currently and where it wants to go in the future**

Gap analysis highlights the gap or difference between the yield on interest sensitive assets and

the yield on interest-sensitive liabilities

- ☐ Multiplying the gap by the projected change in the interest rate yields the change in the bank's profit
- ☐ Gap analysis can be further refined to take account of differences in the maturity of assets and liabilities
- ☐ Banks can manage interest-rate risk by matching the interest-rate sensitivity of assets with the interest-rate sensitivity of liabilities,
- ☐ Purchase short term securities to match variable rate deposits
- ☐ Make long term loans at floating rates

Currency-to-deposit ratio is a factor that affects the quantity of money. This factor is controlled by which of the following?

- ▶ Central bank
- ▶ Bank regulators
- ▶ Commercial banks
- ▶ **Non bank public (repeat)**

What kind of relationship is there between rate of inflation and aggregate demand?

- ▶ Positive relationship
- ▶ **Negative relationship (page 125)**
- ▶ Direct relationship
- ▶ Strong relationship
- ☐ Because real money balances fall at higher levels of inflation, resulting in a lower level of aggregate demand, the aggregate demand curve is downward sloping.

If real interest rate increases, investment will:

- ▶ Increase
- ▶ **Decrease (repeat)**
- ▶ Remain constant
- ▶ None of the given options

Complete crowding-out will occur if:

- ▶ The money supply rises when Government purchases increases
- ▶ An increase in Government purchases does not change Consumption
- ▶ Taxes rise when Government purchases increases
- ▶ **An increase in Government purchases causes an equal fall in Consumption,**

Investment, and Net Exports

The long-run supply curve is:

- ▶ Horizontal
- ▶ **Vertical (page 138)**
- ▶ Downward-sloping
- ▶ Upward-sloping

Which of the following is *NOT* an example of financial institutions?

- ▶ Bank
- ▶ Securities firm
- ▶ **Stock exchange (repeat)**
- ▶ Insurance company

Which of the following is the modern way of transferring fund or making payment?

- ▶ Paychecks system
- ▶ **Electronic fund transfer**
- ▶ Mailed transaction
- ▶ Local bank

_____ evolved from coffee houses to trading places to electronic networks.

- ▶ Financial companies
- ▶ **Financial markets (page 2)**
- ▶ Financial institutions
- ▶ Financial intermediaries

Which of the following is the formula for calculating ROE (Return on equity)?

- ▶ $\text{ROE} = \text{Net profit before taxes} / \text{bank capital}$
- ▶ $\text{ROE} = \text{Net profit after taxes} / \text{total assets}$
- ▶ **$\text{ROE} = \text{Net profit after taxes} / \text{bank capital}$ (page 78)**
- ▶ $\text{ROE} = \text{Net profit before taxes} / \text{total assets}$

Which of the following is related to leverage?

► **Return on assets and return on equity (page 78)**

- Return on assets
- Return on equity
- None of the given options

ROA and ROE are related to leverage

□ A measure of leverage is the ratio of bank assets to bank capital. Multiplying ROA by this ratio yields RO

Which of the following technique is necessary for making profit in a bank?

- Interest rate on liabilities must be lower
- Interest rate on deposits must be higher
- Interest rate on deposits must be higher than the interest rate on the liabilities
- **Interest rate on deposits must be lower than the interest rate on the liabilities**

Which of the following are the primary uses of funds of Insurance Company?

- Cash, loans, securities
- **Corporate bonds, government bonds (page 89)**
- Commercial paper, bonds, mortgages
- Mortgages, consumer loans, business loans

The higher the inflation is, the less predictable it is, and the more _____ risk it creates.

- Trading
- Inflation
- **Systematic (page 95)**
- Non-systematic

The higher the inflation is, the less predictable it is, and the more systematic risk it creates. (page 95)

Which of the following are costs of high and/or unexpected inflation?

- Increased uncertainty
- Higher nominal interest rates
- Hurts net creditors
- **All of the above (repeat)**

Which of the following side of a balance sheet represent that central bank is a government's bank?

- Asset side of the balance sheet
- Liabilities side of the balance sheet
- Equity side of the balance sheet
- **The whole balance sheet**

The central bank creates money and thereby controls the availability of money and credit in a country's economy (page 94)

_____ of a bank is a liability for the bank but that deposit creates reserves of that bank in the central bank that is asset for the bank.

► **Deposits**

- Currency
- Loan
- Security

If we label the quantity of money M and the monetary base MB , the money multiplier m is defined by which of the following relationship?

► **$M = m \times MB$ (page 108)**

- $M = m / MB$
- $M = m - MB$
- $M = m + MB$

The money multiplier shows how the quantity of money (checking account plus currency) is related to the monetary base (reserves in the banking system plus currency held by the nonbank public) Taking m for money multiplier and MB for monetary base, the Quantity of Money, M is

$$M = m \times MB$$

If a bank holds excess reserve it depends upon which of the following?

- Cost of holding the excess reserve
- Benefit of holding excess reserve
- Duration of holding excess reserve
- **Cost and benefit of holding excess reserve**

If a 45 degree line on a graph shows that average annual inflation is exactly equal to the average annual money growth, what will be the position of money growth and inflation below the 45 degree line?

- Money growth = inflation
- **Money growth < inflation**
- Money growth > inflation
- Incomplete information

_____ grow at a rate equal to the rate of real growth plus the desired level of inflation.

- Monetary base
- **Monetary aggregates (page 118)**
- Money multiplier
- Deposit multiplier

Policymakers should strive to ensure that the monetary aggregates grow at a rate equal to the rate of real growth plus the desired level of inflation.

With an inflation objective of 2% and real growth forecast of 3.5%, equation of exchange tells us that policy makers should set velocity growth at 3%, according to this equation what would be the money growth?

- 8%

- ▶ 4%
- ▶ **2.5%**
- ▶ 1%

Money Growth + Velocity Growth = Inflation + Real Growth

$$MG + 3 = 2 + 3.5$$

$$MG = 2.5$$

When interest rates are expected to _____, money demand goes up as people switch from holding bonds into holding money.

▶ **Rise (page 123)**

- ▶ Decrease
- ▶ Remain stable
- ▶ Incomplete information

When interest rates are expected to rise, money demand goes up as people switch from holding bonds into holding money. Lesson 39

Portfolio demand for money goes up as the liquidity of alternatives _____

▶ **Falls**

- ▶ Rises
- ▶ Remain stable
- ▶ Cannot be determined

As the liquidity of alternatives falls, the demand for money goes up

Rising inflation makes foreign goods cheaper in relation to domestic goods, driving imports _____ and net exports _____.

▶ **Up, down (page 133)**

- ▶ Down, up
- ▶ Down, down
- ▶ Up, up

rising inflation makes foreign goods cheaper in relation to domestic goods, driving imports up and net exports down.

Inflation falls and output rises until the economy returns to the point where current output _____ potential output and inflation equals the central bank's target.

▶ **Equals (repeat)**

- ▶ Greater than
- ▶ Lower than
- ▶ Incomplete information

Inflation falls and output rises until the economy returns to the point where current output equals potential output and inflation equals the central bank's target.

_____ in the aggregate demand curve, regardless of its source, will change inflation but not output.

- ▶ Upward shift

- ▶ Downward shift
- ▶ **Any shift (page 143)**
- ▶ None of the given options

Any shift in the aggregate demand curve, regardless of its source, will change inflation but not output

Investing was an activity reserved for only _____ in the past.

- ▶ Business men
- ▶ Traders
- ▶ **Wealthy people (page 2)**
- ▶ Stock brokers

- ☐ To transfer wealth from savers to borrowers
- ☐ To transfer risk to those best equipped to bear it.
- ☐ Once investing was an activity reserved for the wealthy

Financial instruments are evolved just as _____.

- ▶ **Currency page 123**
- ▶ Stock
- ▶ Bond
- ▶ Commodity

Which of the following market allowed networks of dealers that are connected electronically?

- ▶ New York Stock Exchange
- ▶ **NASDAQ (page 61)**
- ▶ Large exchanges in London
- ▶ Large exchanges in Tokyo

If at 5% interest rate, \$100 payment has a PV of \$90.70. Then what will be the PV value of \$200 payment? (Without applying formula).

- ▶ \$45.35
- ▶ \$272.1
- ▶ **\$181.4**
- ▶ \$362.8

$$90.70 + 90.70 = 181.4$$

_____ measures the probability of worst outcome in any investment project.

- ▶ Variance
- ▶ Standard deviation
- ▶ **Value at risk (page 35)**
- ▶ Hedging

Value at Risk (VaR)

Sometimes we are less concerned with the spread of possible outcomes than we are with the value of the worst outcome. To assess this sort of risk we use a concept called "value at risk."

Value at risk measures risk at the maximum potential loss.

In its formal definition, value at risk is the worst possible loss over a specific time horizon, at a given probability.

If the annual interest rate is 6% (.06); the price of a one year Treasury bill would be:

- ▶ \$94.00
- ▶ **\$94.33**
- ▶ \$95.25
- ▶ \$96.10

$$100/1.06 = 94.33$$

Which of the following best describes default risk?

▶ **The chance the issuer will be unable to make interest payments or repay principal (page 51)**

- ▶ The chance the issuer will retire the debt early
- ▶ The chance the issuing firm will be sold to another firm
- ▶ The chance the issuer will sell more debt

Mr. Ghazanfar wants to invest Rs.2,000 in a bond. If this bond is expected to receive a return of Rs.100 per month and a tax of Rs.3 will be deducted on this return. Then Mr. Ghazanfar made his decision by considering which of the following fact?

- ▶ He is attracted by Rs.100 return per month
- ▶ **He considers Rs.100 less deduction for tax i.e.Rs.97**
- ▶ He takes into consideration only the portion of tax which is deducted
- ▶ His decision will not be affected by any of the given factors

bond less interest less tax

Calculate tax implication on Bond yields. Consider a one year bond face value Rs.100 (issued by Government) with coupon rate of 6%.What is the income of bond that is received at maturity? (Tax rate is 30%).

- ▶ **Rs.6**
- ▶ Rs.1.80
- ▶ Rs.4.20
- ▶ Rs.7.80

Government bonds are not taxable.

Which of the following statement is true for the given sentence, "that tax affects the bond return"?

- ▶ **Because only interest income they receive from bond is taxable (page 55)**
- ▶ Because principal amount and interest income they receive from bond is taxable
- ▶ Because bond holders are taxpayers
- ▶ Because all bond is sold with a condition that tax will be deducted from its return

The fact that common stockholders are residual claimants means:

- ▶ The stockholders receive their dividends before any other residuals are paid
- ▶ **The stockholders receive the remains after everyone else is paid (page 61)**
- ▶ The stockholders are paid any past due dividends before other claims are paid
- ▶ The common stockholders are responsible for all corporate debts

If a bank sells off all of its assets and pays all of its liabilities the remaining amount would be _____.

- ▶ Net profit
- ▶ **Net worth (difference assets and liabilities) as per my knowledge this is correct**
- ▶ Reserves
- ▶ Excess reserves

Net worth is the owner's stake in the firm, the value of the firm minus the value of its liabilities

_____ **measures how efficiently a bank uses its assets.**

- ▶ **Return on Assets (page 78)**
- ▶ Return on Equity
- ▶ Bank Capital
- ▶ Bank Profitability

The procedure that estimates the interest rate sensitivity of a bank's assets and liabilities is called _____.

- ▶ Managing credit risk
- ▶ **Gap analysis (page 83)**
- ▶ Trading risk minimization
- ▶ Managing liquidity risk

An insurance company provides liability insurance to a bakery protecting the owner against claims from customers. One area of coverage is protection against food poisoning claims. The insurance company may periodically send an employee into the bakery to observe food preparation and food storage processes. The insurance company is trying to avoid which of the following?

- ▶ Paying claims
- ▶ Adverse selection
- ▶ **Moral hazard (page 85) for this example**
- ▶ Transaction cost

Which of the following is not a function of Investment banks?

- ▶ Research and advice for investors
- ▶ Immediate sale of assets
- ▶ **Access to payment system (page 88)**
- ▶ Access to spectrum of assets allowed diversification

Funds of depository institution are primarily used in which of the following?

- ▶ Corporate bonds, Government bonds, Stocks, Mortgage
- ▶ **Cash, Loan, Securities page 89**
- ▶ Stocks, Government bonds, corporate bonds, commercial papers
- ▶ Commercial papers, Bonds

All of the following are the primary sources of funds for depository institutions EXCEPT?

- ▶ Checkable deposits
- ▶ Savings and time deposits
- ▶ **Short term loans (page 89 correct)**
- ▶ **Borrowings from other banks**

Which one of the following refers to the risk assessment and loss reimbursement guarantee by the individual risk experts of the relevant field?

- ▶ **Underwriting process (page 86)**
- ▶ Insurance process
- ▶ Research process
- ▶ None of the given options

The "trade off" which can impact bank's likelihood of failure is described as:

- ▶ The larger the bank in asset size the more likely it will fail
- ▶ The more competitive the banking environment, the more likely the bank will fail
- ▶ **The more profitable the bank, the less liquid the bank will be and the more likely it will fail**
- ▶ The greater the regulation from government the more likely the bank will fail

On which of the following success of monetary policy depends upon?

- ▶ It may be on the chance or by luck
- ▶ The institutional environment
- ▶ Competent people in responsible positions
- ▶ **Both the institutional environment and Competent people in responsible positions**

A central bank's balance sheet would categorize each of the following as liabilities EXCEPT:

- ▶ Currency
- ▶ **Gold (page 100)**
- ▶ Reserves
- ▶ Accounts of the commercial banks

If the required reserve rate is ten percent and banks do not hold any excess reserves and there are no changes in currency holdings, a \$2 million open market purchase by the Fed will result in deposit creation of:

- ▶ **\$20 million $_D = (1/rD) \cdot _{RR} = (1/10\%)* 2\text{million}$**
- ▶ \$18 million

- ▶ \$2 million
- ▶ \$1,800,000

If required reserves are expressed by RR ; the required reserve rate by r_D and deposits by D ; the simple deposit expansion multiplier is expressed as:

- ▶ $r_D D$
- ▶ $(1/r_D) D$
- ▶ $1/r_D$ (page 108)
- ▶ r_D times 10

The _____ shows how the quantity of money is related to the monetary base:

- ▶ Money multiplier (page 108)
- ▶ Deposit expansion multiplier
- ▶ Fiscal multiplier
- ▶ Tax multiplier

Central banks today place most of their focus on which of the following?

- ▶ The unemployment rate
- ▶ The quantity of M2
- ▶ Interest rates
- ▶ Controlling the size of the money multiplier

Which of the following statement is true regarding monetary policy tools?

- ▶ The Fed currently uses a quantity tool for monetary policy
- ▶ The required reserve rate is the most easily observable tool
- ▶ The federal funds rate is not the best tool because it fails the controllable test of a good monetary policy tool.
- ▶ The central banks cannot set a quantity and a price tool simultaneously

Inflation can be thought of as which of the following?

- ▶ A decrease in the price of money
- ▶ An increase in the price of money
- ▶ No change in the price of money, just in the supply of money
- ▶ No change in the price of money, just in the demand for money

REF :prices increase demand fall

If a central bank sets an explicit inflation target it would require which one of the following?

- ▶ More emphasis on the interest rate target and less on a money target
- ▶ To shift their focus entirely to a nominal interest rate target
- ▶ Willingness to live with more volatility in the interest rate
- ▶ To give up control of targeting the monetary base

Inflation in the long run would be determined by which one of the following?

- ▶ The exchange rate

- ▶ Aggregate demand
- ▶ **The rate of money growth (page 123)**
- ▶ Aggregate supply

Liquidity is the risk that arises as a result of which one of the following consequences?

- ▶ **It arises because of sudden demands of funds (page 81)**
- ▶ It arises when two sides of the balance sheet do not match up
- ▶ It arises when banks make additional profit by using derivatives
- ▶ It arises when loan is not repaid

For securities issued across international borders, changes in the legal and governmental environment can make it difficult for the investor to collect. Such a risk would be termed as:

- ▶ Credit risk
- ▶ **Sovereign risk (page 84)**
- ▶ Insolvency risk
- ▶ Interest rate risk

In general, if the financial institution's balance sheet displays assets and liabilities that are "mis-matched" to a significant degree, the institution faces:

- ▶ Operational risk
- ▶ Sovereign risk
- ▶ **Interest rate risk (page 82)**
- ▶ Liquidity risk

The idea that central banks should be independent of political pressure is an idea that:

- ▶ Is included in Federal Reserve Act in 1913
- ▶ **Is relatively new**
- ▶ Every central bank was founded upon
- ▶ Became quite popular in the early 1900's

One thing that is true about economic policy in the U.S. is that:

- ▶ **Monetary and Fiscal policy often times conflict**
- ▶ Fiscal and monetary policy never conflict
- ▶ Monetary policy ultimately controls fiscal policy
- ▶ Fiscal policy ultimately controls monetary policy

Which of the following is the component of monetary base?

- ▶ Currency in the hands of the public
- ▶ Reserves of the banking system
- ▶ Vault cash plus deposits at the central bank
- ▶ **All of the given options (page 102)**

In the long run, if we ignore changes in velocity then which of the following statement is true?

▶ Inflation will equal money growth less the growth in potential output (page 123)

- ▶ Inflation will equal the rate of money growth
- ▶ Inflation will be zero
- ▶ Inflation will equal money growth plus the growth in potential output

Complete crowding-out will occur if:

- ▶ The money supply rises when Government purchases increases
- ▶ An increase in Government purchases does not change Consumption
- ▶ Taxes rise when Government purchases increases
- ▶ An increase in Government purchases causes an equal fall in Consumption,

Investment, and Net Exports

An increase in the money supply will do all the following except:

- ▶ Increase real GDP in the short-run
- ▶ Increase Price level in the long-run
- ▶ Increase Price level in the short-run
- ▶ Increase real GDP in the long-run

An increase in capital stock, which shifts long-run supply out, will:

- ▶ Lower prices and will not change output
- ▶ Increase prices and will not change output
- ▶ Lower prices and will increase output
- ▶ Increase prices as well as output

Components of M_1 DO NOT include which one of the following?

- ▶ Currency in the hands of public
- ▶ Demand deposits
- ▶ Small denominations time deposit (page 10)
- ▶ Checkable deposits

Which one of the following is the unique problem that banks face?

- ▶ They hold illiquid assets to meet liquid liabilities (page 92)
- ▶ They hold liquid assets to meet illiquid liabilities
- ▶ They hold liquid assets to meet liquid liabilities
- ▶ Both banks' assets and liabilities are illiquid

Stock exchange is an example of:

- ▶ Financial companies
- ▶ Financial institution
- ▶ Financial market (page 18)
- ▶ Bank

In electronic transfer the most common method is to send money through a system maintained by Federal reserve called _____.

- ▶ Fedex
- ▶ Fedwire
- ▶ Fedtransfer
- ▶ Fedmoney

Financial markets enable the transfer of risk by:

- ▶ Not allowing risk averse investors access to U.S. Treasury bond markets
- ▶ Making sure that higher default risk is offset by greater liquidity
- ▶ Allowing firms less willing to bear risk to transfer risk to others who are more willing to bear risk
- ▶ Enabling even unsophisticated investors to purchase highly complex investment

Risk sharing is the characteristic of which one of the following?

- ▶ Checks
- ▶ Checking accounts
- ▶ Money
- ▶ Bonds (page 18)

Suppose there are two investments, A and B, investment A has low standard deviation where as investment B has high standard deviation. What would you think that most people will choose?

- ▶ Investment A (page 35)
- ▶ Investment B
- ▶ Indifference between them
- ▶ Insufficient information to decide

If the annual interest rate is 6% (.06); the price of a one year Treasury bill would be:

- ▶ \$94.00
- ▶ \$94.33
- ▶ \$95.25
- ▶ \$96.10

$$100 / 1.06 = 94.33$$

If YTM equals the coupon rate the price of the bond is _____.

- ▶ Greater than its face value
- ▶ Lower than its face value
- ▶ Equals to its face value (page 42)

- ▶ Insufficient information is given

The return on the bond is equal to which of the following?

- ▶ Coupon rate + rate of capital gains
- ▶ **Current yield + rate of capital gains (page 45)**
- ▶ Coupon rate - rate of capital gains
- ▶ Current yield - rate of capital gains

An increase in the expected inflation shifts the bond supply to the _____

- ▶ **Right (page 46)**
- ▶ Left
- ▶ No change
- ▶ None of the given options

Which of the following ratings shows “Highest quality and credit worthiness”?

- ▶ **AAA (repeated question)**
- ▶ AA
- ▶ BB
- ▶ A

Which of the following patterns of term structure occur most frequently?

- ▶ Ascending yield curve
- ▶ Descending yield curve
- ▶ **Flat yield curve**
- ▶ Humped yield curve

Which one of the following is NOT true for the expectation hypothesis?

- ▶ Risk free interest rate can be computed
- ▶ **There is uncertainty in the future (page 56)**
- ▶ Identifying yield of bond today that will be available next year
- ▶ It focuses on risk free interest rate and the risk premium

According to the liquidity premium theory of the term structure, when the yield curve has its usual slope, the market expects

- ▶ Short-term interest rates to rise sharply
- ▶ **Short-term interest rates to stay near their current levels**
- ▶ Short-term interest rates to drop sharply
- ▶ Short-term interest rates does not change

The Segmented Markets Theory of term structure suggests that:

- ▶ **Investors have strong preferences for bonds of a particular maturity**
- ▶ Investors have no preference for short-term bonds over long-term bonds, or vice versa
- ▶ Interest rates on long-term bonds strongly influence the demand for short-term bonds
- ▶ Bonds of different maturities are perfect substitutes for each other

Funds of depository institution are primarily used in which of the following?

- ▶ Corporate bonds, Government bonds, Stocks, Mortgage
- ▶ **Cash, Loan, Securities (page 89)**
- ▶ Stocks, Government bonds, corporate bonds, commercial papers
- ▶ Commercial papers, Bonds

Which one of the following refers to the risk assessment and loss reimbursement guarantee by the individual risk experts of the relevant field?

- ▶ **Underwriting process (repeat)**
- ▶ Insurance process
- ▶ Research process
- ▶ None of the given options

Regulators of credit unions are which of the following?

- ▶ Office of thrift Supervision
- ▶ **State authorities**
- ▶ National Credit Union Administration
- ▶ Federal Reserve System

Central banks perform all of the following functions EXCEPT:

- ▶ Issue currency
- ▶ Operate a payments system
- ▶ Control the availability of money and credit
- ▶ **Manage fiscal policy**

(general question)

One advantage a central bank has over other businesses including banks is that_____.

- ▶ It receives all of its funding from the government
- ▶ It doesn't have stockholders
- ▶ **It can control its balance sheet at its own will** (repeated question)
- ▶ It doesn't have a board of directors

If required reserves are expressed by RR ; the required reserve rate by r_D and deposits by D; the simple deposit expansion multiplier is expressed as:

- ▶ $r_D D$
- ▶ $(1/r_D) D$
- ▶ **$1/r_D$ (repeated question)**
- ▶ r_D times 10

The central bank makes which type of loans?

- ▶ Primary credit
- ▶ Secondary credit
- ▶ Seasonal credit
- ▶ **All of the given options (repeated question0)**

According to Milton Friedman, central banks should set the money growth at:

- ▶ Constant rate (page 118)
- ▶ Increasing rate
- ▶ Decreasing rate
- ▶ None of the given options

The quantity of money people hold for transactions purpose depends on which of the following?

- ▶ Their nominal income
- ▶ The cost of holding money
- ▶ The availability of substitutes
- ▶ All of the given options (page 120)

Interest rate risk arises as a result of which one of the following consequences?

- ▶ It arises when banks make additional profit by using derivatives
- ▶ It arises when loan is not repaid
- ▶ It arises because of sudden demands of funds
- ▶ It arises when two sides of the balance sheet do not match up (repeated question)

Bank-X's outstanding loans all have fixed interest rates, with maturities in excess of two years. Bank-X's deposit liabilities all have shorter maturity-no more than six months. Bank-X most obviously is facing:

- ▶ Liquidity risk
- ▶ Operational risk
- ▶ Interest rate risk (page 52)
- ▶ Credit risk

One thing that is true about economic policy in the U.S. is that:

- ▶ Monetary and Fiscal policy often times conflict
- ▶ Fiscal and monetary policy never conflict
- ▶ Monetary policy ultimately controls fiscal policy
- ▶ Fiscal policy ultimately controls monetary policy

Which of the following type/s of transaction/s affect the balance sheets of both the central bank and the banking system?

- ▶ An open market operation
- ▶ Central bank's extension of a discount loan
- ▶ All of the given options (page 102)
- ▶ A foreign exchange intervention

The use of lagged reserve accounting usually makes the demand for reserves:

- ▶ Highly unpredictable to the point of volatility
- ▶ Nearly constant with hardly any change at all
- ▶ Predictable
- ▶ Subject to daily changes by the Fed (page 114) correct 100%

The portfolio demand for money reflects which of the following?

- ▶ The money we hold for our everyday transactions
- ▶ The money we hold to purchase stocks and bonds and other financial securities
- ▶ The portion of wealth people desire to hold in the form of money
- ▶ None of the given option (page 123)

The FOMC targets the federal funds rate, but if they are going to alter the course of the economy they must influence which one of the following?

- ▶ The money growth rate as well
- ▶ The long-term nominal interest rate as well
- ▶ The real interest rate as well (repeated question)
- ▶ The nominal exchange rate as well

Which one of the following statement is true for investment if all other factors are held constant?

- ▶ An investment with less risk should sell for a lower price and offer a lower return
- ▶ An investment with more risk should sell for a lower price and offer a higher return
- ▶ An investment with less risk should sell for a lower price and offer a higher return
- ▶ An investment with more risk should offer a lower return and sell for a higher price

Which of the following are without maturity dates?

- ▶ Zero coupon bonds
- ▶ Coupon securities
- ▶ Consols (correct)
- ▶ Preferred Bonds

Banking is a combination of businesses designed_____.

- ▶ To deliver Services
- ▶ To pool the savings
- ▶ To make the loans
- ▶ All of the given options (page 74)

Well run banks have_____.

- ▶ High interest income
- ▶ High interest margin
- ▶ High interest income and high interest margin (page 79)
- ▶ Low interest income and low interest margin

If a customer makes a withdrawal of \$3 million, from where the bank will deduct this withdrawal?

- ▶ From capital
- ▶ From cash at hand
- ▶ From reserves (repeat)

- ▶ Other assets

Why banks do not like to meet their deposit outflows by contracting the asset side of the balance sheet.

- ▶ Because it will shrink the size of the bank (page 82)
- ▶ Because it will shrink the size of the total assets
- ▶ Because it will increase the liabilities of the bank
- ▶ None of the given options

Which of the following technique is necessary for making profit in a bank?

- ▶ Interest rate on liabilities must be lower
- ▶ Interest rate on deposits must be higher
- ▶ Interest rate on deposits must be higher than the interest rate on the liabilities
- ▶ Interest rate on deposits must be lower than the interest rate on the liabilities (page 83)

What is the impact of growth of international banking?

- ▶ It increase the competition in the banking market
- ▶ It increase the efficiency of banking market
- ▶ Profits are harder to come as borrowers and depositors have more options
- ▶ All of the given options (page 85)

Managing _____ is a major concern for today's banks.

- ▶ Trading risk (page 84)
- ▶ Interest rate risk
- ▶ Systematic risk
- ▶ Other risk

Which of the following provides a payment to the policyholder's beneficiaries in the event of the insured's death at any time during the policy term?

- ▶ Life insurance
- ▶ Term life insurance (sure) repeated question
- ▶ Whole life insurance
- ▶ Causality insurance

Which of the following is included in the government-sponsored enterprise?

- ▶ Small and Medium Enterprise (SME)
- ▶ House Building Finance Corporation (HBFC)
- ▶ Khushhali Bank
- ▶ All of the given options (page 88)

Which of the following are the primary uses of funds of Finance Company?

- ▶ Cash, loans, securities
- ▶ Corporate bonds, government bonds
- ▶ Commercial paper, bonds, mortgages

- ▶ Bonds, bank loans, commercial paper (repeated question)

Which of the following situation in a central bank can wreak havoc on the economic and financial system of a country?

- ▶ Weak fiscal policy
- ▶ **Extreme political pressure (correct) repeated question**
- ▶ Incompetence of the central banks
- ▶ **Extreme political pressure and incompetence of the central banks**

Which function was the Central Bank originally designed to perform?

- ▶ **Control the money supply**
- ▶ Clearing checks
- ▶ Acting as lender of last resort
- ▶ All of the above

Which of the following are costs of high and/or unexpected inflation?

- ▶ Increased uncertainty
- ▶ Higher nominal interest rates
- ▶ Hurts net creditors
- ▶ **All of the above**

Which of the following side of a balance sheet represent that central bank is a government's bank?

- ▶ Asset side of the balance sheet
- ▶ Liabilities side of the balance sheet
- ▶ Equity side of the balance sheet
- ▶ **The whole balance sheet**

The legal requirement of reserve of a bank is called_____.

- ▶ Actual reserve
- ▶ **Required reserve**
- ▶ Excess reserve
- ▶ None of the given option

If a bank holds excess reserve it depends upon which of the following?

- ▶ Cost of holding the excess reserve
- ▶ Benefit of holding excess reserve
- ▶ Duration of holding excess reserve
- ▶ **Cost and benefit of holding excess reserve**

The number of times each rupee is used (per unit of time) in making payments is called the_____.

- ▶ **Velocity of money (page 117)**
- ▶ Quantity of money
- ▶ Exchange of money
- ▶ Aggregate money

Portfolio demand for money goes up as the riskiness of the alternative _____

- ▶ Falls
- ▶ **Rises (correct) (123)**
- ▶ Remain stable
- ▶ Cannot be determined

Monetary policy makers react to changes in current inflation by changing the _____

- ▶ Effective interest rate
- ▶ None of the given options
- ▶ **Real interest rate**
- ▶ Nominal interest rate

With a higher inflation target, the central bank will set a lower current _____ at every level of current inflation, shifting the monetary policy reaction curve to the right.

- ▶ **Real interest rate (page 129)**
- ▶ Nominal interest rate
- ▶ Effective interest rate
- ▶ None of the given options

Who set the relationship between current inflation and real interest rate?

- ▶ **Monetary policy makers (page 128)**
- ▶ Fiscal policy makers
- ▶ Budget makers
- ▶ Monetary policy maker or fiscal policy maker

Inflation falls and output rises until the economy returns to the point where current output _____ potential output and inflation equals the central bank's target.

- ▶ **Equals (Page 138)**
- ▶ Greater than
- ▶ Lower than
- ▶ Incomplete information

If more students didn't pay back their student loans then which of the following statement would imply?

- ▶ Student loans may become more difficult to obtain
- ▶ **The interest rate on student loans would increase**
- ▶ Fewer people may attend college
- ▶ All of the given options

If a person has a large amount of currency or big bank account at a point in time, which statement suites best for him?

- ▶ He has money with him

- ▶ He earns income
- ▶ He is wealthy
- ▶ He is not a taxpayer

A derivative instrument:

- ▶ Gets its value and payoff from the performance of the underlying instrument
- ▶ Is a high risk financial instrument used by highly risk averse savers
- ▶ Comes into existence after the underlying instrument is in default
- ▶ Should be purchased prior to purchasing the underlying security

Repurchase agreements are:

- ▶ The most liquid of all money market instruments
- ▶ In use for hundreds of years
- ▶ Loans of deposits at the Federal Reserve
- ▶ Short term loans with Treasury bills as collateral

The future value of \$100 left in a savings account earning 4.5% for two and a half years is best expressed by:

- ▶ $\$100(1.045)^{3/2}$
- ▶ $\$100(0.45)^{2.5}$
- ▶ $\$100(1.045)^{2.5}$
- ▶ $100 \times 2.5 \times (1.045)$

Asma deposits funds into a CD account at her bank. The CD account has an annual interest of 4.0%. If Asma leaves the funds in the CD account for entire two years she will have \$1081.60. What amount is Asma depositing?

- ▶ \$960.60
- ▶ \$900.00
- ▶ \$1005.00
- ▶ \$1000.00

If ABC Inc. and XYZ Inc. have returns that are perfectly negatively correlated:

- ▶ Adding XYZ Inc. to a portfolio that consists of only ABC Inc. will reduce risk
- ▶ Adding ABC Inc. to a portfolio that includes only XYZ Inc. will increase risk
- ▶ Adding XYZ Inc. to a portfolio that consists of only ABC Inc. will neither increase nor decrease the risk of the portfolio
- ▶ Adding XYZ Inc. to a portfolio that consists of only ABC Inc. will lower systematic risk

Which of the following best expresses the formula for determining the price of a U.S. Treasury bill per \$100 of face value?

- ▶ $\$100(1 + i)$
- ▶ $\$100 / (1 + i)^n$
- ▶ $\$100 / (1 + i)$
- ▶ $1 + \$100 / (1 + i)^n$

Current yield is equal to which of the following?

- ▶ Price paid / yearly coupon payment
- ▶ Price paid *yearly coupon payment
- ▶ Yearly coupon payment / face value of bond
- ▶ Yearly coupon payment / price paid

Which of the following ratings shows “Highest quality and credit worthiness”?

- ▶ AAA
- ▶ AA
- ▶ BB
- ▶ A

Question No: 11 (Marks: 1) - Please choose one

	Bond A	Bond B
Maturity	5 years	10 years
Default risk	5%	5%
Tax rate	30%	30%
Yield	?	?

See the above table and choose the one option which is **NOT** correct about the yield of Bond A and Bond B?

- ▶ Bond tax status and default rate are not the only factors that affect the yield of the two bonds
- ▶ Bond A has different yield from that of Bond B because of change in maturity period
- ▶ Yields of both the bonds are not disturbed by maturity period
- ▶ Yield of Bond B depends on what people expect to happen in years to come

Which one of the following is true for the relationship between the yield of taxable and tax exempt bond?

- ▶ Higher the tax rate wider the gap between the yield of taxable and tax exempt bond
- ▶ Taxable bond yield is always greater than tax exempt bond
- ▶ Higher the tax rate shorter the gap between yield of taxable and tax exempt bond
- ▶ Lower the tax rate wider the gap between yield of taxable and tax exempt bond

One way for a bank to deal with liquidity risk is _____.

- ▶ To hold sufficient excess reserves
- ▶ To charge all borrowers from the same industry an average rate for that industry
- ▶ To avoid making loans to borrowers from a broad spectrum
- ▶ To limit the number of loans made in any year

An insurance company provides liability insurance to a bakery protecting the owner against claims from customers. One area of coverage is protection against food poisoning claims. The insurance company may periodically send an employee into

the bakery to observe food preparation and food storage processes. The insurance company is trying to avoid which of the following?

- ▶ Paying claims
- ▶ Adverse selection
- ▶ Moral hazard
- ▶ Transaction cost

Regulators of credit unions are which of the following?

- ▶ Office of thrift Supervision
- ▶ State authorities
- ▶ National Credit Union Administration
- ▶ Federal Reserve System

The specific goals of central banks include all of the following EXCEPT:

- ▶ High and stable real growth
- ▶ Low and stable inflation
- ▶ High levels of imports
- ▶ Low and stable unemployment rates

If M = the quantity of money, m the money multiplier, MB the Monetary Base; C = Currency, D = Deposits; R = Reserves, RR equals required reserves; and ER = excess reserves; then m would equal:

- ▶ M/MB
- ▶ R/ER
- ▶ $C + D$
- ▶ $C + D - ER$

In "gap analysis," the gap is the difference between a bank's _____ and _____.

- ▶ Deposits and loans
- ▶ Long-term securities and short-term securities
- ▶ Rate-sensitive assets and rate-sensitive liabilities
- ▶ Assets and liabilities

Interest rate charged by the central bank on loans to commercial banks is known as:

- ▶ Discount rate
- ▶ Inflation rate
- ▶ Internal rate of return
- ▶ All of the given options

The portfolio demand for money reflects which of the following?

- ▶ The money we hold for our everyday transactions
- ▶ The money we hold to purchase stocks and bonds and other financial securities
- ▶ The portion of wealth people desire to hold in the form of money
- ▶ None of the given option

Which of the following will not shift Aggregate Supply left?

- ▶ A new cost-reducing production technology
- ▶ A sudden increase in energy prices
- ▶ An increase in the expected price
- ▶ An increase in the wage rate

If over time prices and output both rise, then

- ▶ Aggregate Demand must increase more than long-run supply increases
- ▶ Long-run supply must decrease more than Aggregate Demand increases
- ▶ Aggregate Demand must increase less than long-run supply increases
- ▶ Aggregate Demand must increase as much as long-run supply increases

When you need more units of money to buy the same amount of good which you bought a month or a year ago. What does it mean?

- ▶ Your economy has a high economic growth rate
- ▶ Your economy's GDP value is more than previous year
- ▶ Price in your economy is falling causing deflation
- ▶ Price in your economy is raising causing inflation

Which one of the following statement is true for investment if all other factors are held constant?

- ▶ An investment with less risk should sell for a lower price and offer a lower return
- ▶ An investment with more risk should sell for a lower price and offer a higher return
- ▶ An investment with less risk should sell for a lower price and offer a higher return
- ▶ An investment with more risk should offer a lower return and sell for a higher price

Which of the following is the formula for calculating the ROA (Return on assets)?

- ▶ $ROA = \text{Net profit before taxes} / \text{bank capital}$
- ▶ $ROA = \text{Net profit after taxes} / \text{total assets}$
- ▶ $ROA = \text{Net profit after taxes} / \text{bank capital}$
- ▶ $ROA = \text{Net profit before taxes} / \text{total assets}$

Which of the following is the formula for calculating ROE (Return on equity)?

- ▶ $ROE = \text{Net profit before taxes} / \text{bank capital}$
- ▶ $ROE = \text{Net profit after taxes} / \text{total assets}$
- ▶ $ROE = \text{Net profit after taxes} / \text{bank capital}$
- ▶ $ROE = \text{Net profit before taxes} / \text{total assets}$

If bank's interest margin is currently improving, what will be its effect on the profitability of the bank?

- ▶ There will be negative effect on the Bank's profitability
- ▶ There will be positive effect on the Bank's profitability
- ▶ There will be no effect on the Bank's profitability
- ▶ It cannot be determined

How a bank can use liability management to obtain additional funds?

- ▶ By borrowing from central bank
- ▶ By borrowing from other bank
- ▶ By attracting additional deposits
- ▶ All of the given options

What kind of risk will involve when loans will not be repaid?

- ▶ Interest-rate risk
- ▶ Credit risk
- ▶ Trading risk
- ▶ Inflation risk

Which of the following policy is used by the central banks to stabilize economic growth and inflation in a country?

- ▶ Trade policy
- ▶ Fiscal policy
- ▶ Monetary policy
- ▶ Demand management policy

Why govt. wants to control the printing of money?

- ▶ To control the amount of currency
- ▶ To control deflation in a country
- ▶ Losing control of the amount of currency means losing control of inflation
- ▶ Tight control of the amount of currency means losing control of inflation

During the period of _____ the central bank increases the interest rate in order to control the inflation in the economy.

- ▶ Recession
- ▶ Boom
- ▶ Recovery
- ▶ Recession or boom

The amount of _____ a bank holds depends on the costs and benefits of holding them.

- ▶ Excess reserves
- ▶ Required reserve
- ▶ Actual reserve
- ▶ None of the given options

Which of the following are the components of the bank reserves?

- ▶ Deposits of the Government + Currency in the hands of the public
- ▶ Deposits of the Government + deposits at the central bank
- ▶ Currency in the hands of the public + Vault cash
- ▶ Vault cash + deposits at the central bank

Among the asset side of the balance sheet of a central bank which of the following item represent the function of central bank as Banker's bank?

- ▶ Deposits of the Government
- ▶ **Loan to commercial bank**
- ▶ Currency
- ▶ Reserves

The withdrawal reduces the banking system's _____, which is a decrease in its assets, and if the funds come from a checking account, there is a matching decrease in liabilities.

- ▶ Vault cash
- ▶ Securities
- ▶ **Reserves**
- ▶ Currency

Which of the following situation reduce(s) the impact of a given change in reserves on the total deposits in the system?

- ▶ The desire of a bank to hold excess reserves
- ▶ The desire of account holders to withdraw cash
- ▶ **The desire of a bank to hold excess reserves and the desire of account holders to withdraw cash both**
- ▶ None of the given options

Reserve equation can be expressed as:

- ▶ **Reserves = required reserve + excess reserve**
- ▶ Reserves = required reserve - excess reserve
- ▶ Reserves = required reserve / excess reserve
- ▶ Reserves = (required reserve) x (excess reserve)

With the velocity growth of 2% and money growth of 3.5%, equation of exchange tells us that policy makers should set inflation objective of 3%, according to this equation what would be the real growth?

- ▶ 8%
- ▶ 4%
- ▶ **2.5%**
- ▶ 1%

The lower the cost of shifting money between accounts, the lower the money holdings and the _____ the velocity.

- ▶ Lower
- ▶ **Higher**
- ▶ Stable
- ▶ Incomplete information

Higher the level of uncertainty about the future, the higher the demand for money and the _____ the velocity of money.

- ▶ Incomplete information
- ▶ Lower
- ▶ Higher
- ▶ Stable

Which of the following is (are) the factor(s) of aggregate demand?

- ▶ Investment
- ▶ Govt. purchases
- ▶ All of the given options
- ▶ Consumption

When current inflation is high or current output is running above potential output, central bankers will _____ nominal interest rates.

- ▶ Raise
- ▶ Fall
- ▶ Stabilize
- ▶ Incomplete information

The monetary policy reaction curve is set so that when current inflation equals target inflation, the _____ equals the long-run real interest rate.

- ▶ Real interest rate
- ▶ Nominal interest rate
- ▶ Effective interest rate
- ▶ None of the given options

Monetary policy makers react to changes in current inflation by changing the _____

- ▶ Effective interest rate
- ▶ None of the given options
- ▶ Nominal interest rate
- ▶ Real interest rate

If policymakers react aggressively to a movement of current inflation away from its target level with a large change in the real interest rate, the monetary policy reaction curve will be _____ and the aggregate demand curve is _____.

- ▶ Steep, flat
- ▶ Flat, steep
- ▶ Flat, flat
- ▶ Steep, steep

Which of the following reason(s) can shift the short run aggregate supply curve?

- ▶ Deviation of current output from potential output
- ▶ Changes in external factors driving production costs
- ▶ When current output is equal to potential output
- ▶ Deviation of current output from potential output and Changes in external factors driving production costs

Real business cycle theory's assumption that prices and wages are flexible implies that:

- ▶ Short-run aggregate demand curve is irrelevant
- ▶ Long-run aggregate demand curve is irrelevant
- ▶ **Short-run aggregate supply curve is irrelevant**
- ▶ Long-run aggregate supply curve is irrelevant

_____ are organized to eliminate the need of costly information gathering.

- ▶ Central banks
- ▶ Commercial banks
- ▶ Stock exchanges
- ▶ **Insurance companies**

Which one of the following financial instrument is NOT primarily used as store of value?

- ▶ Banks loans
- ▶ Asset-backed securities
- ▶ **Insurance contracts**
- ▶ Stocks

Which one of the following is NOT an example of Centralized exchange?

- ▶ New York Stock Exchange
- ▶ NASDAQ
- ▶ Large exchanges in London
- ▶ **Large exchanges in Tokyo**

A borrower is promised a \$100 payment (including interest) one year from today. If the lender has an 8% opportunity cost of money, he should be willing to accept what amount today? <http://vustudents.ning.com>

- ▶ Rs.100.00
- ▶ Rs.108.20
- ▶ **Rs.92.59**
- ▶ Rs.96.40

_____ measures the probability of worst outcome in any investment project.

- ▶ Variance
- ▶ Standard deviation
- ▶ **Value at risk**
- ▶ Hedging

The risk premium for an investment:

- ▶ **Increases with risk**
- ▶ Is a fixed amount added to the risk free return
- ▶ Is negative for U.S. Treasury Securities
- ▶ Is negative for risk averse investors

The current yield on a \$10,000, 5% coupon bond selling for \$8,000 is:

- ▶ 6.25%
- ▶ 7.50%
- ▶ 8.00%
- ▶ 5.00%

In which of the following bonds we may ignore the default risk?

- ▶ Privately issued bonds
- ▶ **Government issued bonds**
- ▶ Bonds issued by Corporate
- ▶ All of the given options

A graph in which time to maturity is along x-axis and yield to maturity is along y-axis is called _____. <http://vustudents.ning.com>

- ▶ Government curve
- ▶ SWAP curve
- ▶ **Yield curve**
- ▶ LIBOR curve

According to the liquidity premium theory of the term structure, when the yield curve has its usual slope, the market expects

- ▶ Short-term interest rates to rise sharply
- ▶ **Short-term interest rates to stay near their current levels**
- ▶ Short-term interest rates to drop sharply
- ▶ Short-term interest rates does not change

Other things remaining equal, the liquidity premium theory is based upon the idea that _____.

- ▶ Investors prefer long-term bonds
- ▶ Investors prefer short-term bonds
- ▶ Investors are indifferent between short-term and long-term bonds
- ▶ Investors prefer intermediate-term bonds

A stand by letter of credit is a form of:

- ▶ Loan
- ▶ **Insurance**
- ▶ Security
- ▶ Deposits

Which one of the following is the similarity between pension funds and insurance companies? <http://vustudents.ning.com>

- ▶ Pooling the savings of many investors
- ▶ **Spreading risk**
- ▶ Accepting deposits

- ▶ Both pool the savings of many investors and spread risk

Which one of the following is included in the functions of both Finance company as well as Government Sponsored Enterprise?

- ▶ Consumer loans
- ▶ Farm loans
- ▶ Business loans
- ▶ **Mortgages**

Which one of the following is extended usually overnight to sound institutions on a very short-term basis?

- ▶ **Primary credit**
- ▶ Secondary credit
- ▶ Seasonal credit
- ▶ All of the given options

If Md reflects money demand, then we can write the equation for money demand as:

- ▶ $Md = VY$
- ▶ **$Md = (1/V) PY$**
- ▶ $Md = PY$
- ▶ $Md = V(Y/P)$

If a central bank sets an explicit inflation target it would require which one of the following?

- ▶ More emphasis on the interest rate target and less on a money target
- ▶ To shift their focus entirely to a nominal interest rate target
- ▶ **Willingness to live with more volatility in the interest rate**
- ▶ To give up control of targeting the monetary base

Banking is risky because _____.

- ▶ **Depository institutions are highly leveraged**
- ▶ Banks do in all the lines of banking trades
- ▶ Banks pay less for the deposits
- ▶ All of the given options

A U.S. institution, United Bank, buys some financial assets denominated in British pounds. Fluctuations in the dollar value of the pound will give rise to:

- ▶ Credit risk
- ▶ Operational risk
- ▶ **Foreign exchange risk**
- ▶ Country risk

In general, if the financial institution's balance sheet displays assets and liabilities that are "mis-matched" to a significant degree, the institution faces:

- ▶ **Operational risk**
- ▶ Sovereign risk

- ▶ Interest rate risk
- ▶ Liquidity risk

Excess reserve-to-deposit ratio is a factor that affects the quantity of money. This factor is controlled by which of the following?

- ▶ Central bank
- ▶ Bank regulators
- ▶ **Commercial banks**
- ▶ Non bank public

Required reserve-to-deposit ratio is a factor that affects the quantity of money. This factor is controlled by which of the following? <http://vustudents.ning.com>

- ▶ Central bank
- ▶ **Bank regulators**
- ▶ Commercial banks
- ▶ Non bank public

Monetary Base is a factor that affects the quantity of money. This factor is controlled by which of the following?

- ▶ **Central bank**
- ▶ Bank regulators
- ▶ Commercial banks
- ▶ Non bank public

In the long run, if we ignore changes in velocity then which of the following statement is true?

- ▶ **Inflation will equal money growth less the growth in potential output**
- ▶ Inflation will equal the rate of money growth
- ▶ Inflation will be zero
- ▶ Inflation will equal money growth plus the growth in potential output

Aggregate demand curve slopes down because of many reasons which of the following is NOT the reason of its downward slope?

- ▶ Higher inflation increases real money balances
- ▶ Higher inflation induces policymakers to raise the real interest rate
- ▶ Rising inflation also reduces wealth
- ▶ **Rising inflation lowers consumption**

Which of the following will not shift Aggregate Supply left?

- ▶ A new cost-reducing production technology
- ▶ A sudden increase in energy prices
- ▶ **An increase in the expected price**
- ▶ An increase in the wage rate

Which one of the following statement is true for investment if all other factors are held constant?

- ▶ An investment with less risk should sell for a lower price and offer a lower return
- ▶ An investment with more risk should sell for a lower price and offer a higher return
- ▶ **An investment with less risk should sell for a lower price and offer a higher return**
- ▶ An investment with more risk should offer a lower return and sell for a higher price

Zero-Coupon Bonds are pure discount bonds since they sell at a price _____.

- ▶ Equal their face value
- ▶ **Below their face value**
- ▶ Above their face value
- ▶ None of the given options

_____ pool money from individuals and invest in different portfolio and return is distributed in different share holders. <http://vustudents.ning.com>

- ▶ **Mutual funds**
- ▶ Investment banks
- ▶ Brokers
- ▶ Finance companies

If interest rate on liabilities is 8% and interest rate on deposits is 10% what be interest margin?

- ▶ 18%
- ▶ 10%
- ▶ 8%
- ▶ 2%

The two sides of the bank's balance sheet often do not match up this phenomena creates interest rate risk. How?

- ▶ There is interest-rate risk because liabilities tend to be long term while assets tend to be short term
- ▶ **There is interest-rate risk because liabilities tend to be short term while assets tend to be long term**
- ▶ There is interest-rate risk because both the liabilities assets tend to be long term
- ▶ There is interest-rate risk because both the liabilities assets tend to be short term

What is the impact of growth of international banking?

- ▶ It increase the competition in the banking market
- ▶ It increase the efficiency of banking market
- ▶ Profits are harder to come as borrowers and depositors have more options
- ▶ **All of the given options**

Which of the following is the most important part of a bank examination?

- ▶ **To examine past-due loans**
- ▶ To examine the long term loans

- ▶ To examine the liquidity of the banks
- ▶ To examine the management of the bank

If inflation were _____, an employer wishing to cut labor costs would need to cut nominal wages, which is difficult to do.

- ▶ **Zero**
- ▶ Low
- ▶ High
- ▶ Stable

Which of the following are functions of a central bank?

- ▶ Regulating banks
- ▶ Clearing checks
- ▶ **Acting as lender of last resort**
- ▶ All of the above

During the period of _____ the central bank decreases the interest rate in order to boost the economic activities in the country.

- ▶ Boom
- ▶ Recovery
- ▶ **Recession or boom**
- ▶ Recession

Which of the following side of a balance sheet represent that central bank is a bankers' bank?

- ▶ **Asset side of the balance sheet**
- ▶ Liabilities side of the balance sheet
- ▶ Equity side of the balance sheet
- ▶ The whole balance sheet

"Politicians must clearly state their policy goals and the tradeoffs among them" represent which of the following principle of central bank design?

- ▶ Independence
- ▶ Decision making by committee
- ▶ Accountability and transparency
- ▶ **Policy framework**

What is (are) the prerequisite of smooth functioning of central bank?

- ▶ Transparency
- ▶ Independence
- ▶ Accountability
- ▶ **All of the given options**

When the currency that people are holding loses value much rapidly, what will be the behavior of people?

- ▶ **The will spend money as quickly as possible**

- ▶ They will try to save the money for future
- ▶ They will not bother the value of money
- ▶ None of the given option

The quantity of money people hold for transaction purposes does NOT depends upon:

- ▶ Nominal income
- ▶ Cost of holding money
- ▶ Availability of substitutes
- ▶ **Real income**

Higher the level of uncertainty about the future, the higher the demand for money and the _____ the velocity of money.

- ▶ Incomplete information
- ▶ **Lower**
- ▶ Higher
- ▶ Stable

The rate will change if one of the following components of aggregate demand that is not sensitive to the real interest rate goes up (or down) or if potential output changes.

- ▶ Consumption
- ▶ Investment
- ▶ Net exports
- ▶ **Govt. spending**

Polymakers set their short-run nominal interest rate targets in response to economic conditions in general and _____ in particular.

- ▶ **Inflation**
- ▶ Deposits
- ▶ Exports
- ▶ Imports

The monetary policy reaction curve is located so that the central bank's target inflation is consistent with the long-run _____, which equates aggregate demand with potential output. <http://vustudents.ning.com>

- ▶ **Real interest rate**
- ▶ Nominal interest rate
- ▶ Effective interest rate
- ▶ None of the given options

With a higher inflation target, the central bank will set a lower current _____ at every level of current inflation, shifting the monetary policy reaction curve to the right.

- ▶ **Real interest rate**
- ▶ Nominal interest rate

- ▶ Effective interest rate
- ▶ None of the given options

Which of the following is shown by the aggregate demand curve?

- ▶ **How sensitive current output is to given change in current inflation**
- ▶ Current output is not sensitive to given change in current inflation
- ▶ Current output and current inflation both move in the same direction
- ▶ None of the given options

If current output is lower than potential output, the resulting recessionary gap places pressure towards _____ on inflation, causing the short-run aggregate supply curve to shift downward.

- ▶ Right
- ▶ Left
- ▶ Upward
- ▶ **Downward**

Which of the following are used to transfer resources from savers to investors and to transfer risk to those who best equipped it?

- ▶ Financial markets
- ▶ Financial instruments
- ▶ Financial institutions
- ▶ **Banks**

Wealth can be held in number of other forms but we use to hold money because of which one of the following reason?

- ▶ **It is the only mode of payment**
- ▶ It is an asset
- ▶ It is most liquid
- ▶ It is the only store of value

Banks use to handle transactions among themselves, through which one of the following?

- ▶ Debit card
- ▶ **Electronic transfers**
- ▶ Credit card
- ▶ Store value card

Economists study the link between money and inflation because:

- ▶ Research shows that there is some inverse correlation between the supply of money and inflation
- ▶ Economists believe that inflation in the 3-5% range is healthy for an economy
- ▶ As prices increase money becomes more valuable
- ▶ **Research shows that there is some direct correlation between the supply of money and inflation**

The loans made between borrowers and lenders:

- ▶ Are liabilities to the lenders and assets to the borrowers since the borrower obtains the funds
- ▶ Are assets to the lenders and liabilities of the borrowers since the promises are made to the lenders
- ▶ Are assets to the borrowers as he obtains funds and also the liability to the borrowers as he has to pay it
- ▶ Are not part of either's assets or liabilities until the loans are repaid

Which one of the following financial instrument is NOT primarily used as store of value?

- ▶ Banks loans
- ▶ Asset-backed securities
- ▶ Insurance contracts
- ▶ Stocks

Which one of the following is NOT an example of Centralized exchange?

- ▶ New York Stock Exchange
- ▶ NASDAQ
- ▶ Large exchanges in London
- ▶ Large exchanges in Tokyo

Which of the following market allowed networks of dealers that are connected electronically?

- ▶ New York Stock Exchange
- ▶ NASDAQ
- ▶ Large exchanges in London
- ▶ Large exchanges in Tokyo

If a bond sells at a premium, where price exceeds face value, then we would expect to see:

- ▶ Market interest rate the same as the coupon rate
- ▶ Market interest rates above the coupon rate
- ▶ Market interest rates below the coupon rate
- ▶ None of the given options

Mary is planning on taking out a mortgage loan for her new house. She is given the choice of two different banks: Bank A has quoted annual rate of 8% compounded semi-annually and Bank B has a quoted annual rate of 7.5% compounded for a certain number of times a year. Which bank should Mary choose?

- ▶ Bank A
- ▶ Bank B
- ▶ Indifferent between Bank A and Bank B
- ▶ Insufficient information

The default premium: <http://vustudents.ning.com>

- ▶ Is positive for a U.S. Treasury bond
- ▶ Must always be less than 0 (zero)
- ▶ Is also known as the risk spread
- ▶ Is assigned by a bond rating agency

Common stocks (or corporate stocks):

- ▶ Are short term debt instruments
- ▶ Entitle the holder to contractual payments
- ▶ Were poor investments over the period 1982-1996
- ▶ Allows the holder to share in the earnings of the firm

If we ignore risk, the dividend discount model says the fundamental price of a stock is simply:

- ▶ The current dividend divided by the interest rate less the dividend growth rate
- ▶ The annual growth rate of the dividend minus the interest rate divided by the current dividend
- ▶ The current dividend divided by the interest rate plus the dividend growth rate
- ▶ The current dividend divided by the dividend growth rate less the interest rate

Which of the following is correct answer for the difference between Bank assets and liabilities?

- ▶ Bank Capital
- ▶ Net worth
- ▶ Bank profit
- ▶ Bank capital and net worth

Which of the following does not include in the bank's reserves?

- ▶ Treasury bills
- ▶ Currency in the bank
- ▶ Bank's deposits at the Federal Reserves
- ▶ Currency in ATM machines

Which of the following is a Depository institution?

- ▶ Commercial bank
- ▶ Savings institution
- ▶ Credit union
- ▶ All of the given options

One way for a bank to deal with liquidity risk is _____.

- ▶ To hold sufficient excess reserves
- ▶ To charge all borrowers from the same industry an average rate for that industry
- ▶ To avoid making loans to borrowers from a broad spectrum
- ▶ To limit the number of loans made in any year

Which of the following is the primary source of funds for Depository institutions?

- ▶ Short term loans
- ▶ Shares sold to customers
- ▶ Savings and time deposits
- ▶ **Commercial papers**

House Building Finance Corporation (HBFC) is:

- ▶ **A Finance company**
- ▶ A Securities firm
- ▶ A Government sponsored enterprise
- ▶ An insurance company

A central bank's balance sheet would categorize each of the following as liabilities EXCEPT:

- ▶ **Currency**
- ▶ Gold
- ▶ Reserves
- ▶ Accounts of the commercial banks

A bank can make new loans as long as it has:

- ▶ **Excess reserves**
- ▶ Required reserves
- ▶ Correspondent reserves
- ▶ Capital

Which of the following statement is true regarding monetary policy tools?

- ▶ **The Fed currently uses a quantity tool for monetary policy**
- ▶ The required reserve rate is the most easily observable tool
- ▶ The federal funds rate is not the best tool because it fails the controllable test of a good monetary policy tool.
- ▶ The central banks cannot set a quantity and a price tool simultaneously

Fraction of deposits that banks must keep either on deposit at the central bank or as cash in their vaults is known as: <http://vustudents.ning.com>

- ▶ Target federal funds rate
- ▶ Discount rate
- ▶ **Reserve requirement**
- ▶ None of the given options

A rate of inflation that is less than the growth rate of money for a country could be explained by which one of the following?

- ▶ **A decreasing velocity of money**
- ▶ A contracting real economy
- ▶ A constant velocity of money
- ▶ A increasing velocity of money

The idea that central banks should be independent of political pressure is an idea that:

- ▶ Is included in Federal Reserve Act in 1913
- ▶ Is relatively new
- ▶ **Every central bank was founded upon**
- ▶ Became quite popular in the early 1900's

Discount lending includes in the Federal's function of _____.

- ▶ Open market operations
- ▶ Lender of last resort
- ▶ The government bank
- ▶ **Open market operation and the government bank**

Which of the following statements is most appropriate?

- ▶ Over the last 10 years the deviations between the target and market federal funds rate have decreased
- ▶ The market federal funds rate equals the target federal funds rate
- ▶ **Over the last 10 years the deviations between the target and market federal funds rate have increased**
- ▶ There doesn't appear to be any relationship at all between the target and market federal fund rates

The self-correcting mechanism of the economy explains why _____?

- ▶ Fiscal policy cannot increase aggregate demand in the short run
- ▶ The natural rate of output changes to eliminate unemployment
- ▶ **Wages and prices adjust to return the economy to full employment**
- ▶ The economy will not sustain inflation

Home loan and car loan are the examples of which one of the following?

- ▶ Mortgage loan
- ▶ Pledge
- ▶ **Fixed Payment Loan**
- ▶ Ordinary loan

Gap analysis highlights the gap or difference between which of the following?

- ▶ Difference between the total assets and the total liabilities
- ▶ Yield on the long term loans and the yield on short loans
- ▶ Interest payment on the fixed deposits and interest payment on saving deposits
- ▶ **Yield on interest sensitive assets and yield on interest sensitive liabilities**

_____ risk arises from the fact that some foreign borrowers may not repay their loans, not because they are willing to, but because their govt. prohibit them from doing so.

- ▶ Foreign exchange risk
- ▶ **Sovereign risk**
- ▶ Interest-rate risk

- ▶ Trading risk

Which of the following is a combination of auto insurance?

- ▶ Life insurance and property insurance
- ▶ Life insurance and causality insurance
- ▶ **Property insurance and casualty insurance**
- ▶ Life insurance and saving account

Which of the following is included in the government-sponsored enterprise?

- ▶ Small and Medium Enterprise (SME)
- ▶ House Building Finance Corporation (HBFC)
- ▶ Khushhali Bank
- ▶ **All of the given options**

Which of the following is the most important part of a bank examination?

- ▶ **To examine past-due loans**
- ▶ To examine the long term loans
- ▶ To examine the liquidity of the banks
- ▶ To examine the management of the bank

Which of the following policy is used by the central banks to stabilize economic growth and inflation in a country?

- ▶ Trade policy
- ▶ Fiscal policy
- ▶ **Monetary policy**
- ▶ Demand management policy

The job of the central bank is to improve general economic welfare by managing and reducing_____.

- ▶ Trading risk
- ▶ **Inflation risk**
- ▶ Systematic risk
- ▶ Non-systematic risk

Which of the following are functions of a central bank?

- ▶ Regulating banks
- ▶ Clearing checks
- ▶ Acting as lender of last resort
- ▶ **All of the above**

Fluctuations in velocity are tied to changes in people's desire to hold money and so in order to understand and predict changes in velocity; what policymakers must understand?

- ▶ Demand for money
- ▶ Supply of money
- ▶ Demand and supply of money

- ▶ None of the given options

_____ the nominal interest rate, the less money individuals will hold for a given level of transactions, and higher the velocity of money

- ▶ Lower
- ▶ Higher
- ▶ Stable
- ▶ Incomplete information

Which of the following is/are the determinant(s) of money demand that cause individuals to hold more money?

- ▶ National income
- ▶ Interest rate
- ▶ Availability of alternative means of payment
- ▶ All of the given options

Which of the following is (are) the factor(s) of aggregate demand?

- ▶ Investment
- ▶ Govt. purchases
- ▶ All of the given options
- ▶ Consumption

Monetary policy makers react to changes in current inflation by changing the _____

- ▶ Effective interest rate
- ▶ None of the given options
- ▶ Nominal interest rate
- ▶ Real interest rate

In response to changes in either the long run real interest rate or the central bank's inflation target. An increase in the long run real interest rate shifts the curve to the left. An increase in the inflation target shifts the curve to the _____.

- ▶ Right
- ▶ Left
- ▶ Upward
- ▶ Downward

Which of the following is shown by the aggregate demand curve?

- ▶ How sensitive current output is to given change in current inflation
- ▶ Current output is not sensitive to given change in current inflation
- ▶ Current output and current inflation both move in the same direction
- ▶ None of the given options

If policymakers react aggressively to a movement of current inflation away from its target level with a large change in the real interest rate, the monetary policy reaction curve will be _____ and the aggregate demand curve is _____.

- ▶ Steep, flat
- ▶ Flat, steep
- ▶ Flat, flat
- ▶ Steep, steep

Rising inflation makes foreign goods cheaper in relation to domestic goods, driving imports _____ and net exports _____.

- ▶ Up, down
- ▶ Down, up
- ▶ Down, down
- ▶ Up, up

In which of the following situation part of the economy's capacity is idle, and firms tend to raise their prices and wages less than they did when current output equaled potential output?

- ▶ When current output is below potential output
- ▶ When current output exceeds potential output
- ▶ When current output equals potential output
- ▶ None of the given options

A decline in aggregate demand causes a temporary decline in which of the following?

- ▶ Out put
- ▶ Inflation
- ▶ Both output and inflation
- ▶ Incomplete information

If you put \$1,000 per year into bank at 4% interest, how much would you have saved after 40 years?

- ▶ \$90,000
- ▶ \$98,826
- ▶ \$82,286
- ▶ \$85,880

Midterm:

Which of the following are without maturity dates?

- ▶ Zero coupon bonds

- ▶ Coupon securities
- ▶ **Consols**
- ▶ Preferred Bonds

Which of the following institution takes direct deposit from customer and gives loan to customer directly?

- ▶ Zarai Tarkaytee Bank LTD
- ▶ Soneri Bank
- ▶ Khushali Bank
- ▶ **Credit union**

Mr. Ghazanfar obtains a home improvement loan from Allied Bank. This loan is:

- ▶ Mr. Ghazanfar's asset and the bank's liability
- ▶ Mr. Ghazanfar 's asset, but the liability belongs to the bank's depositors (**Doubt**)
- ▶ **Mr. Ghazanfar 's liability and an asset for the bank**
- ▶ Both Mr. Ghazanfar's and bank's liability

Components of M_1 DO NOT include which one of the following?

- ▶ Currency in the hands of public
- ▶ Demand deposits
- ▶ **Small denominations time deposit**
- ▶ Checkable deposits

Which of the following has created an opportunity for small investors to participate in economic activity?

- ▶ **Mutual funds**
- ▶ Small corporations
- ▶ Stock brokers
- ▶ Small investors cannot take part in economic activity

Which of the following is *NOT* an example of financial institutions?

- ▶ Bank
- ▶ Securities firm
- ▶ **Stock exchange**
- ▶ Insurance company

Requiring a large deductible on the part of an insured is one way insurers treat the problem of:

- ▶ Free-riding
- ▶ **Moral hazard**
- ▶ Adverse selection
- ▶ The Lemons market

In a financial market where information is symmetric:

- ▶ **The same information would be known by both parties in a transaction**
- ▶ One party to a transaction knows information the other party does not

- ▶ The ability to obtain information is available to only one party
- ▶ All of the given options

When stock prices reflect fundamental values:

- ▶ All investors will experience capital gains
- ▶ All companies will have an easier task of obtaining financing for investment projects
- ▶ **The allocation of resources will be more efficient**
- ▶ The overall level of the stock market should move higher continuously

An index number is a valuable tool because:

- ▶ The number by itself provides all of the useful information needed
- ▶ **The index provides a meaningful measurement scale to calculate percentage changes**
- ▶ The index is more stable than the data it reflects
- ▶ It does not require any calculations to compute percentage changes

The concept of limited liability says a stockholder of a corporation:

- ▶ Is liable for the corporation's liabilities, but nothing more
- ▶ Cannot receive dividends that exceed their investment
- ▶ Cannot own more than five percent of any public corporation
- ▶ **Cannot lose more than their investment**

Other things remaining equal, the liquidity premium theory is based upon the idea that _____.

- ▶ Investors prefer long-term bonds
- ▶ **Investors prefer short-term bonds**
- ▶ Investors are indifferent between short-term and long-term bonds
- ▶ Investors prefer intermediate-term bonds

Which one of the following is NOT true for the expectation hypothesis?

- ▶ Risk free interest rate can be computed (**Doubt**)
- ▶ There is uncertainty in the future
- ▶ Identifying yield of bond today that will be available next year
- ▶ **It focuses on risk free interest rate and the risk premium**

A graph of the term structure with YTM on Y-axis and time to maturity on X-axis is called:

- ▶ Demand curve
- ▶ Supply curve
- ▶ **Yield curve**
- ▶ Leffer curve

	Bond A	Bond B
Maturity	5 years	10 years

Default risk	5%	5%
Tax rate	30%	30%
Yield	?	?

See the above table and choose the one option which is **NOT** correct about the yield of Bond A and Bond B?

▶ **Bond tax status and default rate are not the only factors that affect the yield of the two bonds**

▶ Bond A has different yield from that of Bond B because of change in maturity period

▶ Yields of both the bonds are not disturbed by maturity period

▶ Yield of Bond B depends on what people expect to happen in years to come

The _____ are an assessment of the creditworthiness of the corporate issuer.

▶ Bond yield

▶ **Bond ratings**

▶ Bond risk

▶ Bond price

The bond rating of a security refers to which of the followings?

▶ The size of the coupon payment relative to the face value

▶ The return a holder is likely to receive

▶ **The likelihood the lender/borrower will be repaid by the borrower/issuer**

▶ The years until the bond matures

An increase in the expected inflation shifts the bond demand to the _____

▶ Right (Doubt)

▶ **Left**

▶ No change

▶ None of the given options

The current yield on a \$10,000, 5% coupon bond selling for \$8,000 is:

▶ **6.25%**

▶ 7.50%

▶ 8.00%

▶ 5.00%

If the annual interest rate is 6% (.06); the price of a one year Treasury bill would be:

▶ \$94.00

▶ **\$94.33**

▶ \$95.25

▶ \$96.10

The return on holding a bond till its maturity is called:

▶ Coupon rate

- ▶ **Yield to maturity**
- ▶ Current yield
- ▶ Fixed return

Which of the following best describes the relationship between Bond prices and yields?

- ▶ Move together directly
- ▶ Independent of each other
- ▶ **Move together inversely**
- ▶ Bond yields do not change since the coupon is fixed

Mr. A has a Treasury bill with a maturity period of 6 months where as Mr. B has a bond with a maturity period of 1 year. Which of the following statement is NOT true for this situation?

- ▶ Mr. A has paid less price for his bond than Mr. B
- ▶ **Mr. A and Mr. B is a holder of zero coupon bond**
- ▶ Mr. A will receive payment at the end of the maturity period
- ▶ Mr. B will receive the payment at the end of the maturity period

What is true relationship between return and risk?

- ▶ Lower the risk greater the return
- ▶ **Greater the risk greater the return**
- ▶ Greater the risk no change in return
- ▶ No relationship between them

Sum of all the probabilities should be equal to which one of the following?

- ▶ Zero
- ▶ **One**
- ▶ Two
- ▶ Three

_____ measures the probability of worst outcome in any investment project.

- ▶ Variance
- ▶ Standard deviation
- ▶ **Value at risk**
- ▶ Hedging

The variance is generally less useful than the standard deviation on which of the following reasons?

- ▶ Variance is easier to calculate
- ▶ Variance is a measure of risk, whereas standard deviation is a measure of return
- ▶ **Variance isn't calculated in the same units as payoffs where as standard deviation is**

- ▶ Both are equally useful

A credit market instrument that pays the owner a fixed coupon payment every year until the maturity date and then repays the face value is called:

- ▶ Simple loan
- ▶ Fixed-payment loan
- ▶ **Coupon bond**
- ▶ Discount bond

Which of the following provides the greatest incentive to borrow?

- ▶ A high real interest rate
- ▶ **A low real interest rate**
- ▶ A high nominal interest rate
- ▶ A low nominal interest rate

An investment carrying a current cost of \$130,000 is going to generate \$70,000 of revenue for each of the next three years. To calculate the internal rate of return we need to:

- ▶ Calculate the present value of each of the \$70,000 payments and multiply these and set this equal to \$130,000
- ▶ Take the present value of \$210,000 for three years from now and set this equal to \$130,000
- ▶ **Set the sum of the present value of \$70,000 for each of the next three years equal to \$130,000**
- ▶ Subtract \$130,000 from \$210,000 and set this difference equal to the interest rate

A borrower is promised a \$100 payment (including interest) one year from today. If the lender has an 8% opportunity cost of money, he should be willing to accept what amount today?

- ▶ Rs.100.00
- ▶ Rs.108.20
- ▶ **Rs.92.59**
- ▶ Rs.96.40

Which one of the following is NOT an example of Centralized exchange?

- ▶ New York Stock Exchange
- ▶ NASDAQ
- ▶ **Large exchanges in London**
- ▶ Large exchanges in Tokyo

Financial intermediaries provide small lender-savers all of the following advantages EXCEPT:

- ▶ **Greater liquidity**
- ▶ Lower transaction cost
- ▶ Lower risk
- ▶ Higher return (**Doubt**)

The shares of McDonald Corporation stock are examples of:

- ▶ **A standardized financial instrument**
- ▶ A standardized financial liability instrument
- ▶ A non-standardized financial instrument
- ▶ A means of payment

Which of the following statements is NOT correct?

- ▶ **Banks are financial intermediaries**
- ▶ Financial intermediary involves in giving loan and accepting deposit
- ▶ All financial intermediaries are insurance companies
- ▶ Financial intermediaries increase the efficiency of the economy

Economic research shows:

- ▶ There is a strong inverse correlation between financial market development and economic growth
- ▶ There is weak relation between financial market development and economic growth around 0.25
- ▶ **There is a relatively strong positive correlation between financial market development and economic growth**
- ▶ There isn't any correlation between financial market development and economic growth

Which of the following statements is correct?

- ▶ If you can buy the same goods this year as you bought last year with less money the money supply decreased.
- ▶ **To purchase the same goods today that were purchased one year ago requires more money, there must have been inflation**
- ▶ To purchase the same goods today as one year ago requires less money, the money supply must have increased
- ▶ To purchase the same goods today that were purchased one year ago requires the same amount of money, there must have been inflation

The one that you get from bank when you open your checking account is

-
- ▶ **Debit card**
 - ▶ Credit card
 - ▶ Store value card
 - ▶ Customer card

Wealth can be held in number of other forms but we use to hold money because of which one of the following reason?

- ▶ It is the only mode of payment
- ▶ It is an asset
- ▶ **It is most liquid**
- ▶ It is the only store of value

Which of the following are used to monitor and stabilize the economy?

- ▶ Stock exchanges
- ▶ Commercial Banks
- ▶ **Central Banks**
- ▶ Financial institutions

We need _____ to carry out day to day transactions.

- ▶ **Money**
- ▶ Bonds
- ▶ Stocks
- ▶ Loans

The reason for the government to get involved in the financial system is to:

- ▶ Protect investors
- ▶ Ensure the stability of the financial system
- ▶ Protect bank customers from monopolistic exploitation
- ▶ **All of the given options**

_____ are organized to eliminate the need of costly information gathering.

- ▶ Central banks
- ▶ Commercial banks
- ▶ **Stock exchanges**
- ▶ Insurance companies

All of the following are the components of M_2 EXCEPT?

- ▶ M_1
- ▶ Saving deposits
- ▶ **Travelers cheques**
- ▶ Mutual funds shares

A Financial Intermediary:

- ▶ Is an agency that guarantees a loan
- ▶ Is involved in direct finance
- ▶ **Would be used in indirect finance**
- ▶ None of the given options

Commissions paid to an insurance broker are an example of which of the following?

- ▶ Risk transfer
- ▶ Information asymmetry
- ▶ **Transaction costs**
- ▶ All of the given options

The financial intermediary that obtains funds largely through premium payments and uses those funds to purchase corporate bonds and mortgages is:

- ▶ Credit unions
- ▶ Mutual funds

► **Life insurance companies**

- Pension funds

Risk sharing is the characteristic of which one of the following?

- Checks
- Checking accounts
- Money
- **Bonds**

Bonds that are issued by Government are called _____.

- Government bonds
- **Treasury bonds**
- Corporate bonds
- Callable bonds

Which of the following is the difference that lies between the options and futures?

- Options is not binding whereas future is binding
- **Futures carry risks but Options didn't carry risk**
- Centralized clearinghouses guarantee futures but not options contracts
- There is no difference between options and futures

Which of the following describes the general formula for the calculation of the compound interest?

- $FV = PV/(1+i)^n$
- $FV = PV/(1-i)^n$
- **$FV = PV*(1+i)^n$**
- $FV = PV*(1-i)^n$

If you put \$1,000 per year into bank at 4% interest, how much would you have saved after 40 years?

- **\$90,000** (right option could (\$95,025.52))
- \$98,826
- \$82,286
- \$85,880

Which one of the following is the procedure of finding out the Present Value (PV)?

- **Discounting**
- Compounding
- Time value of money
- Bond pricing

What is true about the relationship between standard deviation and risk?

- **Greater the standard deviation greater will be the risk**
- Greater the standard deviation lower will be the risk
- Greater the standard deviation risk will be remained the same
- No relation between them

Most of the people among us are _____.

- ▶ Risk lovers
- ▶ Risk enhancers
- ▶ **Risk averse**
- ▶ Risk tolerating

_____ is the strategy of reducing overall risk by making two investments with opposing risks.

- ▶ Spreading the risk
- ▶ Standard deviation
- ▶ **Hedging the risk**
- ▶ Variance

If ABC Inc. and XYZ Inc. have returns that are perfectly negatively correlated:

- ▶ **Adding XYZ Inc. to a portfolio that consists of only ABC Inc. will reduce risk**
- ▶ Adding ABC Inc. to a portfolio that includes only XYZ Inc. will increase risk
- ▶ Adding XYZ Inc. to a portfolio that consists of only ABC Inc. will neither increase nor decrease the risk of the portfolio
- ▶ Adding XYZ Inc. to a portfolio that consists of only ABC Inc. will lower systematic risk

Which of the following statement is true for amortized loan?

- ▶ Payment includes interest and full amount of principal
- ▶ Payment includes only the interest
- ▶ **Payment includes both interest and some portion of the principal**
- ▶ Principal amount is paid fully in the periodic payments

Which of the following best describes the relationship between Bond prices and yields?

- ▶ Move together directly
- ▶ Independent of each other
- ▶ **Move together inversely**
- ▶ Bond yields do not change since the coupon is fixed

The relationship between the price and the interest rate for a zero coupon bond is best described as _____.

- ▶ Volatile
- ▶ Stable
- ▶ **Inverse**
- ▶ No relationship

The price of a 6-month Treasury Bill is _____ the price of a 1-year Treasury Bill.

- ▶ **Lower than**
- ▶ Higher than

- ▶ Equal to
- ▶ None of the given options

If YTM is greater than the coupon rate the price of the bond is _____.

- ▶ Greater than its face value
- ▶ **Lower than its face value**
- ▶ Equals to its face value
- ▶ Insufficient information is given

Current yield is equal to which of the following?

- ▶ Price paid / yearly coupon payment
- ▶ Price paid * yearly coupon payment
- ▶ Yearly coupon payment / face value of bond
- ▶ **Yearly coupon payment / price paid**

The _____ are an assessment of the creditworthiness of the corporate issuer.

- ▶ Bond yield
- ▶ **Bond ratings**
- ▶ Bond risk
- ▶ Bond price

Which of the following statement is true for the given sentence, "that tax affects the bond return"?

- ▶ **Because only interest income they receive from bond is taxable**
- ▶ Because principal amount and interest income they receive from bond is taxable
- ▶ Because bond holders are taxpayers
- ▶ Because all bond is sold with a condition that tax will be deducted from its return

Which one of the following is true for the relationship between the yield of taxable and tax exempt bond?

- ▶ **Higher the tax rate wider the gap between the yield of taxable and tax exempt bond**
- ▶ Taxable bond yield is always greater than tax exempt bond
- ▶ Higher the tax rate shorter the gap between yield of taxable and tax exempt bond
- ▶ Lower the tax rate wider the gap between yield of taxable and tax exempt bond

If the tax rate is higher than gap between yield on taxable and tax exempt bond?

- ▶ Shorter
- ▶ **Wider**
- ▶ No gap
- ▶ Any thing can be possible

Which of the following statement is correct about the yield curve?

- ▶ Yield on short term bonds are not more volatile than yield on long term bond
- ▶ **Long term yields tend to be higher than short term yield**
- ▶ Interest rate of different maturities don't tend to move together

- ▶ None of the given options

The slope of the yield curve seems to predict the performance of the economy with:

- ▶ Usually 3 months lag
- ▶ Usually two years lag
- ▶ Usually within few weeks
- ▶ **Usually one year lag**

The liquidity premium theory suggests that yield curves should usually be:

- ▶ **Up-sloping**
- ▶ Inverted
- ▶ Flat
- ▶ Up-sloping through year 1, then flat thereafter

If we ignore risk, the dividend discount model says the fundamental price of a stock is simply:

- ▶ **The current dividend divided by the interest rate less the dividend growth rate**
- ▶ The annual growth rate of the dividend minus the interest rate divided by the current dividend
- ▶ The current dividend divided by the interest rate plus the dividend growth rate
- ▶ The current dividend divided by the dividend growth rate less the interest rate

The theory of efficient market states that prices of financial instruments reflect:

- ▶ **All available information**
- ▶ Some of the information
- ▶ No information
- ▶ Imperfect information

Without the ability of financial intermediaries to pool the resources of small savers:

- ▶ Borrowers needing large amounts of money would find it less costly to obtain the funds
- ▶ The economy would likely grow faster
- ▶ People would likely save more
- ▶ **The risk associated with lending would increase**

If information in a financial market is asymmetric, this means:

- ▶ Borrowers and lenders have the same information
- ▶ Lenders lack any information
- ▶ Borrowers and lenders have perfect information
- ▶ **Borrowers would have more information than lenders**

Previously financial markets were located in which one of the following?

- ▶ **Coffee houses or Taverns**
- ▶ Stock exchanges
- ▶ Bazaar

- ▶ Both Coffee houses and Stock exchanges

Zero-Coupon Bonds are pure discount bonds since they sell at a price _____.

- ▶ Equal their face value
- ▶ **Below their face value**
- ▶ Above their face value
- ▶ None of the given options

Which of the following are used to transfer resources from savers to investors and to transfer risk to those who best equipped it?

- ▶ Financial markets
- ▶ **Financial instruments**
- ▶ Financial institutions
- ▶ Banks

E money is really a form of which one of the following?

- ▶ Paper money
- ▶ Fiat money
- ▶ Government money
- ▶ **Private money**

The Consumer Price Index (CPI):

- ▶ **Tends to overstate inflation due to substitution bias**
- ▶ Tends to understate actual inflation
- ▶ Is more accurate than the GDP deflator
- ▶ Is based on basket of goods that changes monthly with consumer expenditures

Considering the value of a financial instrument, the longer the time until the promised payment is made:

- ▶ **The less valuable is the promise to make it since time is valuable**
- ▶ The greater the risk, therefore the promise has greater value
- ▶ The more valuable is the promise to make it
- ▶ It has no effect on the value of instrument

_____ are the economies central nervous system.

- ▶ Financial Instruments
- ▶ **Financial Markets**
- ▶ Financial Institutions
- ▶ Financial Companies

Which of the following market allowed networks of dealers that are connected electronically?

- ▶ New York Stock Exchange
- ▶ **NASDAQ**
- ▶ Large exchanges in London
- ▶ Large exchanges in Tokyo

What is relationship between interest rate and future value?

- ▶ Lower the interest rate higher will be the future value
- ▶ **Higher the interest rate higher will be the future value**
- ▶ Higher the interest rate lower will be the future value
- ▶ Interest rate has no effect on future value

The future value of \$100 left in a savings account earning 4.5% for two and a half years is best expressed by:

- ▶ $\$100(1.045)^{3/2}$
- ▶ $\$100(0.45)^{2.5}$
- ▶ **$\$100(1.045)^{2.5}$**
- ▶ $100 \times 2.5 \times (1.045)$

If the factor time (n) is longer then:

- ▶ **Present value will be lower**
- ▶ Present value will be higher
- ▶ Interest rate will be lower
- ▶ Time has no effect on present value

If at 5% interest rate, \$100 payment has a PV of \$90.70. Then what will be the PV value of \$200 payment? (Without applying formula).

- ▶ \$45.35
- ▶ \$272.1
- ▶ **\$181.4**
- ▶ \$362.8

Which of the following represents the fisher's equation?

- ▶ **Nominal interest rate = real interest rate + inflation**
- ▶ Nominal interest rate + inflation = real interest rate
- ▶ Nominal interest rate = real interest rate - inflation
- ▶ Nominal interest rate = real interest rate / inflation

What will be the result of the difference of real and nominal interest rate?

- ▶ The cost of borrowing
- ▶ **The effect of inflation**
- ▶ The price of bonds
- ▶ The return of bonds

A zero coupon bond:

- ▶ Does not pay any coupon payments because the issuer is in default
- ▶ Pays coupons only once a year versus the usual twice a year
- ▶ **Promises a single future payment**
- ▶ Pays coupons only if the bond price is below face value

Which of the following best expresses the formula for determining the price of a U.S. Treasury bill per \$100 of face value?

- ▶ $\$100(1 + i)$
- ▶ **$\$100 / (1 + i)^n$**
- ▶ $\$100 / (1 + i)$
- ▶ $1 + \$100 / (1 + i)^n$

If YTM equals the coupon rate the price of the bond is _____.

- ▶ Greater than its face value
- ▶ Lower than its face value
- ▶ **Equals to its face value**
- ▶ Insufficient information is given

The return on the bond is equal to which of the following?

- ▶ Coupon rate + rate of capital gains
- ▶ **Current yield + rate of capital gains**
- ▶ Coupon rate - rate of capital gains
- ▶ Current yield - rate of capital gains

A business cycle downturn shifts the bond supply to the:

- ▶ Right
- ▶ **Left**
- ▶ No change
- ▶ None of the given options

In the long run, the yield curve tends to be which of the following?

- ▶ **Upward sloping**
- ▶ Downward sloping
- ▶ Nearly vertical
- ▶ Nearly horizontal

Yield curves show which of the followings?

- ▶ The relationship between bond interest rates (yields) and bond prices
- ▶ The relationship between liquidity and bond interest rates (yields)
- ▶ The relationship between risk and bond interest rates (yields)
- ▶ **The relationship between time to maturity and bond interest rates (yields)**

Mr. Ghazanfar wants to invest Rs.2,000 in a bond. If this bond is expected to receive a return of Rs.100 per month and a tax of Rs.3 will be deducted on this return. Then Mr. Ghazanfar made his decision by considering which of the following fact?

- ▶ He is attracted by Rs.100 return per month
- ▶ **He considers Rs.100 less deduction for tax i.e.Rs.97**
- ▶ He takes into consideration only the portion of tax which is deducted
- ▶ His decision will not be affected by any of the given factors

Mr. Ali has a bond, which is issued by local government of Punjab which is *NOT* true for situation?

▶ **He faces tax affects on return on bond**

- ▶ His bond can also be named as municipal bond
- ▶ He receive interest on that bond throughout life period of bond
- ▶ Default risk affects its return on bond

The expectations theory of the term structure assumes:

▶ **Buyers of bonds consider bonds of different maturities to be perfect substitutes**

- ▶ Markets for different maturity bonds are completely separate
- ▶ Buyers of bonds prefer bonds with shorter maturities
- ▶ Buyers of bonds prefer bonds with longer maturities

The fact that common stockholders are residual claimants means:

- ▶ The stockholders receive their dividends before any other residuals are paid
- ▶ **The stockholders receive the remains after everyone else is paid**
- ▶ The stockholders are paid any past due dividends before other claims are paid
- ▶ The common stockholders are responsible for all corporate debts

An index number is a valuable tool because:

- ▶ The number by itself provides all of the useful information needed
- ▶ **The index provides a meaningful measurement scale to calculate percentage changes**
- ▶ The index is more stable than the data it reflects
- ▶ It does not require any calculations to compute percentage changes

The Theory of Efficient Markets:

- ▶ **Allows for higher than average returns if the investor takes higher risk**
- ▶ Says Insider-information makes markets less efficient
- ▶ Rules out high returns due to chance
- ▶ Assumes people have equal luck

Money once consisted of Gold and silver coins which were eventually replaced by which of the following?

- ▶ Plastic money
- ▶ **Paper money**
- ▶ Commodity money
- ▶ E-money

Which of the following statement is true about the relationship between bond ,coupon payment and interest?

- ▶ Coupon payments fall, the interest rate falls, and Bond price will rise
- ▶ **Coupon payments rise, the interest rate falls, and Bond price will rise**
- ▶ Coupon payments fall, the interest rate falls, and Bond price will fall
- ▶ Coupon payments rise, the interest rate falls, and Bond price will fall

Which of the following is **NOT** true for financial institutions?

- ▶ It reduces the transaction cost
- ▶ It reduces the information cost
- ▶ It reduces the asymmetric information
- ▶ **It doesn't make long term loans**

Often a bank will require a loan officer to make personal visits on customers with loans outstanding. This is encouraged because:

- ▶ The bank worries about competitors trying to steal their customers
- ▶ The bank wants to make sure the business is still there
- ▶ The bank likely has excess funds available and hopes to make another loan to the business

▶ **This is an effective monitoring technique and should reduce moral hazard**

Della's Donut Shop goes out of business due to decreasing sales resulting from the dramatic increase in people on low carbohydrate diets. The decrease in business also results in Della's defaulting on the loan they have with the bank. This is an example of:

- ▶ Asymmetric information in financial markets
- ▶ **Lack of perfect information in financial markets**
- ▶ Moral hazard in financial markets
- ▶ Adverse selection

A bank can usually offer a saver a higher return for the same risk because:

- ▶ The bank can usually purchase assets at a higher cost than any one saver
- ▶ The bank can pool the resources of larger savers and purchase lower denominated assets

▶ **Economies of scale can be applied by the bank in its purchase of assets**

- ▶ None of the given options

The process of financial intermediation:

- ▶ Creates a net cost to an economy but is unavoidable
- ▶ Is used primarily in underdeveloped countries
- ▶ Is always used when a borrower needs to obtain funds
- ▶ **Increases the economy's ability to produce**

Which statement shows the major difference between stocks and bonds?

- ▶ Bonds pay their owners dividends while stocks pay interest
- ▶ **Bonds pay their owners interest while stocks pay dividends**
- ▶ Interest on a bond is not guaranteed while dividends on stock are legally required
- ▶ Bonds represent ownership while stock represents debt

The liquidity premium theory suggests that yield curves should usually be:

- ▶ **Up-sloping**
- ▶ Inverted

- ▶ Flat
- ▶ Up-sloping through year 1, then flat thereafter

Current yield did **NOT** measure which of the following?

- ▶ Return arises from coupon payment
- ▶ **Capital gain and loss**
- ▶ Return arises from bond holding till maturity
- ▶ All of the given options (**Doubt**)

Which of the following statement is **NOT** true for consols?

- ▶ Consol offers only periodic interest payments
- ▶ Borrower never repays the principal
- ▶ **There are Government and as well as private consols**
- ▶ Price of a consol is the present value of all the future interest payments

Suppose a \$1000 investment has a fixed return of 5% per annum, which one of the following statement is **NOT** true for this investment?

- ▶ Its return can be calculated
- ▶ **It's a risky investment**
- ▶ It will give return annually
- ▶ Its future value is known

If a bond sells at a premium, where price exceeds face value, then we would expect to see:

- ▶ Market interest rate the same as the coupon rate
- ▶ Market interest rates above the coupon rate
- ▶ **Market interest rates below the coupon rate**
- ▶ None of the given options

The rule of 72 says that at 12% interest \$100 should become \$200 in about

- ▶ **72 months**
- ▶ 100 months
- ▶ 12 years
- ▶ 8.2 years

_____ is the today's value of a payment that is promised to be made in the future.

- ▶ None of the given options
- ▶ Future value
- ▶ **Present value**
- ▶ Agreed value

Which of the following is a financial market in which a borrower obtains funds from a lender by selling newly issued securities?

- ▶ Secondary market

▶ **Primary market**

- ▶ Over the counter market
- ▶ Centralized market

Repurchase agreements are:

- ▶ The most liquid of all money market instruments
- ▶ In use for hundreds of years
- ▶ Loans of deposits at the Federal Reserve

▶ **Short term loans with Treasury bills as collateral**

Which of the following statement truly represents the main difference between debit card and store value card?

▶ **Debit card is operated by ATM machine while Store value card doesn't**

- ▶ Debit card appearance is different from Store value card
- ▶ Debit card is not specific for user but store value card is specific
- ▶ Debit card is specific for user but store value card is not

In electronic transfer the most common method is to send money through a system maintained by Federal reserve called _____.

- ▶ Fedex
- ▶ **Fedwire**
- ▶ Fedtransfer
- ▶ Fedmoney

A derivative instrument:

- ▶ **Gets its value and payoff from the performance of the underlying instrument**
- ▶ Is a high risk financial instrument used by highly risk averse savers
- ▶ Comes into existence after the underlying instrument is in default
- ▶ Should be purchased prior to purchasing the underlying security

Which one of the following financial instrument is NOT primarily used as store of value?

- ▶ Banks loans
- ▶ Asset-backed securities
- ▶ **Insurance contracts**
- ▶ Stocks

Which one of the following represents the main purpose for which the secondary markets are made?

- ▶ **Small investors who don't have an access to new securities**
- ▶ Primary market is not enough for buying and selling of securities
- ▶ Large investors usually traded in these markets
- ▶ Prices in the secondary markets are known to investors

What will be the effect on the present value if we double the future value of the payment?

- ▶ It will decrease the value by one-half
- ▶ It will increase the value by one-half
- ▶ **It will equally increase the value i.e. doubles the value**
- ▶ It will have no effect on the value

The interest rate that is involved in _____ calculation is referred to as discount rate

- ▶ **Present value**
- ▶ Future value
- ▶ Intrinsic value
- ▶ Discount value

Mary is planning on taking out a mortgage loan for her new house. She is given the choice of two different banks: Bank A has quoted annual rate of 8% compounded semi-annually and Bank B has a quoted annual rate of 7.5% compounded for a certain number of times a year. Which bank should Mary choose?

- ▶ Bank A
- ▶ **Bank B**
- ▶ Indifferent between Bank A and Bank B
- ▶ Insufficient information

If YTM is less than the coupon rate the price of the bond is _____.

- ▶ **Greater than its face value**
- ▶ Lower than its face value
- ▶ Equals to its face value
- ▶ Insufficient information is given

For a \$100 one-year zero-coupon bond, the supply will be _____ at \$95 than it will be at \$90, all other things being equal.

- ▶ Higher than before
- ▶ **Lower than before**
- ▶ Stable
- ▶ Insufficient information

The default premium:

- ▶ Is positive for a U.S. Treasury bond
- ▶ Must always be less than 0 (zero)
- ▶ **Is also known as the risk spread**
- ▶ Is assigned by a bond rating agency

Which of the following statement is true for the given sentence, "that tax affects the bond return"?

- ▶ **Because only interest income they receive from bond is taxable**
- ▶ Because principal amount and interest income they receive from bond is taxable
- ▶ Because bond holders are taxpayers
- ▶ Because all bond is sold with a condition that tax will be deducted from its return

Expectation hypothesis focuses on which one of the following?

- ▶ Risk premium
- ▶ **Risk free interest rate**
- ▶ Yield to maturity
- ▶ None of the given options

According to the liquidity premium theory of the term structure, when the yield curve has its usual slope, the market expects

- ▶ Short-term interest rates to rise sharply
- ▶ **Short-term interest rates to stay near their current levels**
- ▶ Short-term interest rates to drop sharply
- ▶ Short-term interest rates does not change

Financial instruments are used to transfer which of the following?

- ▶ Both Risk and Resources
- ▶ **Risk**
- ▶ Resources
- ▶ Mortgages

Price of 100 goods under the barter system would be _____.

- ▶ 5050
- ▶ 19800
- ▶ **4950**
- ▶ 20200

Which one of the following is the primary cause of inflation?

- ▶ Decreased money supply
- ▶ **Increased money supply**
- ▶ Decreased interest rates
- ▶ Increased purchasing power

Which of the following is true for direct finance?

- ▶ Individuals (or firms) borrow directly from banks
- ▶ Individuals deposit savings directly in banks
- ▶ Firms deposit savings directly in banks
- ▶ **Individuals (or firms) borrow directly from the savers**

What will be the Future Value (FV) of \$1000 in 5 years at 5% interest rate?

- ▶ \$1300.00
- ▶ **\$1276.28**
- ▶ \$1999.99
- ▶ \$1500.52

You receive a check for \$100 two years from today. The discounted present value of this \$100 is:

- ▶ $\$100/(1+i)$
- ▶ $\$100*(1+i)^2$
- ▶ $\$100*(1+i)$
- ▶ $\$100/(1+i)^2$

Which of the following represents the fisher's equation?

- ▶ **Nominal interest rate = real interest rate + inflation**
- ▶ Nominal interest rate + inflation = real interest rate
- ▶ Nominal interest rate = real interest rate - inflation
- ▶ Nominal interest rate = real interest rate / inflation

The coupon rate of bond:

- ▶ Is another term for the current yield
- ▶ Is another term for the yield to maturity
- ▶ **Could not be calculated for a zero-coupon bond**
- ▶ None of the given options

The lowest rating for an investment grade bond assigned by Moody's is:

- ▶ BBB
- ▶ ABB
- ▶ **Baa**
- ▶ Aaa

Which of the following is true of a nation's central bank?

- ▶ It makes important decisions about the nation's tax and public spending policies
- ▶ It lends only to the nation's largest and most important business firms
- ▶ It has many interactions with the nation's citizens and businesses
- ▶ **It is responsible for conducting the nation's monetary policy**

Which of the following represents the history of money uptill the modern age?

- ▶ **Gold/silver coins Paper Currency Electronic Fund Transfer**
- ▶ Paper Currency Gold/Silver coins Electronic Fund Transfer
- ▶ Electronic Fund Transfer Paper Currency Gold/silver coins
- ▶ Gold/silver coins Electronic Fund Transfer Paper currency

Mr. A makes payment to Mr. B in exchange of household furniture in the form of cheques. Which of the following is true for this situation?

- ▶ **It is final payment made by Mr. A**
- ▶ It's not a final payment
- ▶ It may not be accepted as payment
- ▶ Cheques are not form of money

A change in the interest rate:

- ▶ **Has a larger impact on the present value of a payment to be made far into the future than one to be made sooner**

- ▶ Will not have a difference on the present value of two equal payments to be made at different times
- ▶ Has a smaller impact on the present value of a payment to be made far into the future than one to be made sooner
- ▶ None of the given options

Financial instruments are evolved just as _____.

- ▶ **Currency**
- ▶ Stock
- ▶ Bond
- ▶ Commodity

A decrease in the number of credit cards issued:

- ▶ **Has the same impact on the economy as the Federal Reserve supplying less money**
- ▶ Reduces the money supply since credit cards act like money
- ▶ Would probably lower the amount in M3 but likely not M1
- ▶ None of the given options

Asma deposits funds into a CD account at her bank. The CD account has an annual interest of 4.0%. If Asma leaves the funds in the CD account for entire two years she will have \$1081.60. What amount is Asma depositing?

- ▶ \$960.60
- ▶ \$900.00
- ▶ \$1005.00
- ▶ **\$1000.00**

You receive a check for \$500 three years from today. The discounted present value of this \$500 is _____.

- ▶ $\$500/(1+i)$
- ▶ $\$500*(1+i)$
- ▶ **$\$500/(1+i)^3$**
- ▶ $\$500*(1+i)^3$

A risk-averse investor will:

- ▶ Always prefer an investment with a lower expected return
- ▶ **Always prefer an investment with a certain return to one with the same expected return but any amount of uncertainty**
- ▶ Always require a certain return
- ▶ Always focus exclusively on the expected return

A share of common stock represents _____.

- ▶ A claim from a lender to a borrower
- ▶ A share in the company's assets
- ▶ **A share of ownership of the company**
- ▶ An unlimited liability to the owner of the stock

You start with a \$1000 portfolio; it loses 40% over the next year, the following year it gains 50% in value; At the end of two years the worth of your portfolio will be:

- ▶ **\$900**
- ▶ \$600
- ▶ \$1000
- ▶ \$1100

The interest rate used in the present value calculation is often referred as:

- ▶ **Discount rate**
- ▶ Inflation rate
- ▶ Nominal rate
- ▶ Deflation rate

If there is a decrease in the expected future interest rate, what will be its affect on bond?

- ▶ Bond will be less attractive
- ▶ **Bond will be more attractive**
- ▶ Bond will be less expensive
- ▶ Bond will be more expensive

Core principles of Money and Banking include each of the following Except?

- ▶ **All people act rationally**
- ▶ Time has value
- ▶ Information is the basis for decisions
- ▶ Risk requires compensation

Which of the following is a drawback of Fiat money?

- ▶ Fewer resources are used to produce money
- ▶ The quantity of money can be determined by rational human judgment
- ▶ **A corrupt Government might issue excessive amount of money thus causing inflation**
- ▶ Fiat money doesn't have any drawback

Which one of the following is NOT true for money?

- ▶ Money is an asset
- ▶ Money is a standard mode of payment
- ▶ **Money is same as wealth**
- ▶ Money is readily spend able asset

If the internal rate of return from an investment is less than the opportunity cost of funds:

- ▶ Firm should make the investment
- ▶ **Firm should not make the investment**
- ▶ Firm should only make the investment using retained earnings
- ▶ None of the given options

The real interest rate is:

- ▶ The nominal rate plus the expected inflation rate
- ▶ **The nominal rate minus the expected inflation rate**
- ▶ The nominal interest rate divided by the Consumer Price Index
- ▶ The product of the nominal rate and the Consumer Price Index

For a \$1000 one year discount bond with a price of \$975, the yield to maturity is which of the following?

- ▶ $\$975/\1000
- ▶ **$(\$1000 - \$975)/\$975$**
- ▶ $(\$1000 - \$975)/(\$1000)$
- ▶ $\$1000/\975

Calculate tax implication on Bond yields. Consider a one year bond face value Rs.100 (issued by Government) with coupon rate of 6%. What is the income of bond that is received at maturity? (Tax rate is 30%).

- ▶ **Rs.6**
- ▶ Rs.1.80
- ▶ Rs.4.20
- ▶ Rs.7.80

Stock market bubbles can lead to:

- ▶ An inefficient allocation of resources
- ▶ **Stock market crashes**
- ▶ Patterns of volatile returns from the stock market
- ▶ All of the given options

Without the ability of financial intermediaries to pool the resources of small savers:

- ▶ Borrowers needing large amounts of money would find it less costly to obtain the funds
- ▶ The economy would likely grow faster
- ▶ People would likely save more
- ▶ **The risk associated with lending would increase**

The fact that a financial intermediary can use the same contract for many customers is an example of:

- ▶ Economies of Scope
- ▶ The Law of Diminishing Marginal Returns
- ▶ The Law of Increasing Opportunity Cost
- ▶ **Economies of Scale**